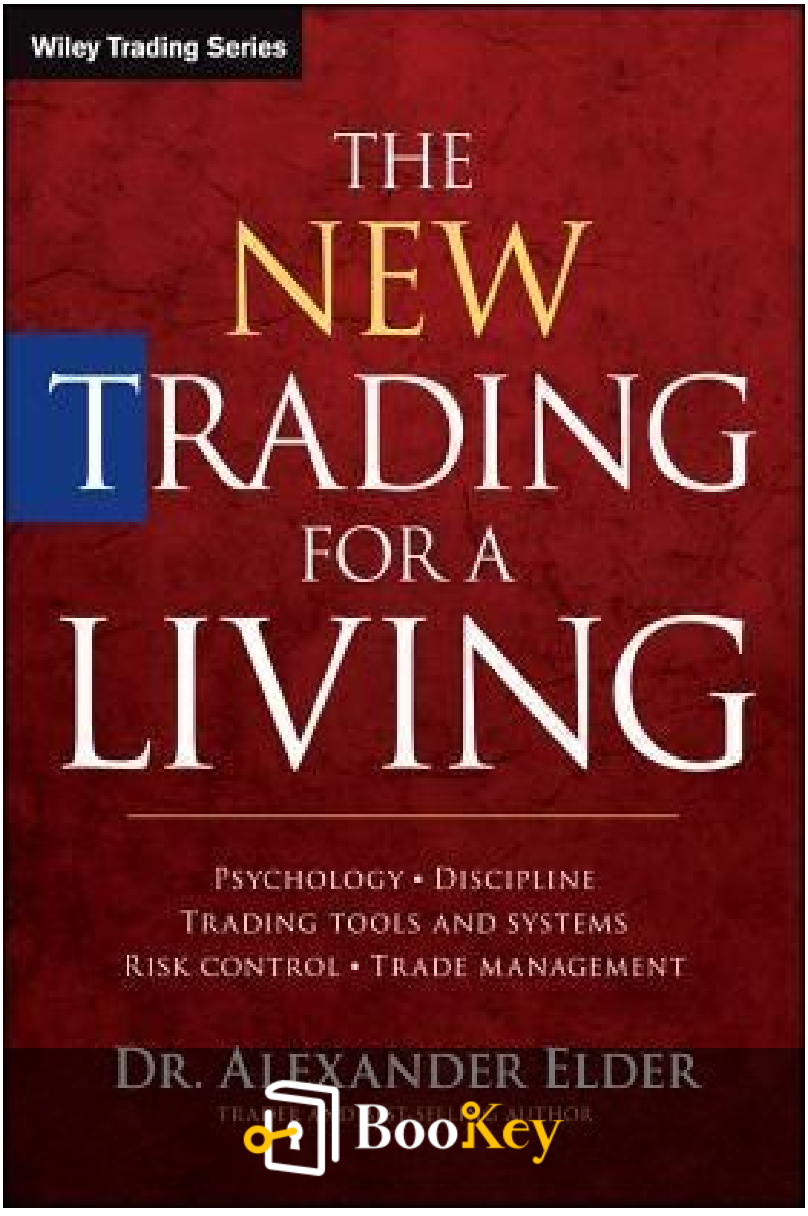
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Alexander Elder



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About the book

Discover the updated edition of the best-selling trading guide, *The New Trading for a Living*, a timeless resource cherished by both individual and institutional traders around the globe. This revised edition aligns proven strategies with the dynamics of today's fast-paced markets, introducing contemporary studies and techniques tailored for the modern trader. With a focus on disciplined trading and risk management, it provides essential guidelines that foster both self-management and strategic thinking. Inside, you'll find valuable templates for evaluating stock selections, crafting trade plans, and assessing your trading readiness. Featuring all-new, full-color charts and clear explanations of rules and strategies, this book offers a unique blend of practical insights and essential skills. Whether you're a novice or an experienced trader, *The New Trading for a Living* equips you with the knowledge, perspective, and tools needed to create a personalized trading system, propelling your trading success to new heights.

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About the author

Dr. Alexander Elder is a renowned professional trader and psychologist based in New York City, celebrated for his influential works, including the acclaimed books *Trading for a Living* and *Come into My Trading Room*, the latter earning the distinction of Barron's 2002 Book of the Year. Born in Leningrad and raised in Estonia, Dr. Elder began his medical education at the early age of 16. At 23, he made a daring escape from a Soviet ship in Africa, ultimately gaining political asylum in the United States. As a psychiatrist, he taught at Columbia University, leveraging his psychological expertise to provide profound insights into trading behavior. A pioneer in trader education, he founded the Traders' Camps and the Spike group, and continues to share his knowledge as a sought-after speaker at events worldwide while actively trading.

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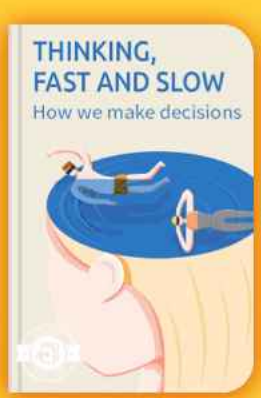
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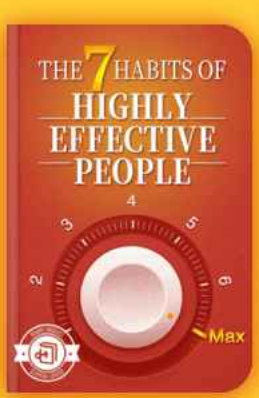
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Chapter 1 Summary : Introduction



Section	Content
Introduction	To succeed in trading, one must outperform competitors as the majority lose. A successful trader thinks differently from the market crowd. The book offers unconventional trading ideas and encourages reflection on unique thinking.
Questions for Reflection	Decision-Making Methods: What long-term decision-making methods benefit traders? Options: A. Fundamental analysis, B. Inside information, C. Hunches and tips, D. Technical analysis Elements of Trading Success: Which is unnecessary for trading success? Options: A. Trading psychology, B. Analytic method, C. Connections with market insiders, D. Money management method Approach to Reading Trading Books: What is the best strategy when reading a trading book? Options: A. Test ideas on personal market data, B. Incorporate all ideas into work, C. Distrust the information provided, D. Consult other traders for effectiveness Causes of Trading Losses: Which is not a major cause of trading losses? Options: A. Slippage, B. Commissions, C. Emotional trading, D. Theft

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Section	Content
	Understanding Trading Outcomes: What concept does the following scenario illustrate? Trader Jim wins while Trader John loses. Options: A. Zero-sum game, B. Positive expectations game, C. Random walk, D. Minus-sum game Brokerage Commission: Determine the incorrect statement for buying shares at $20 with a $10 commission. Options: A. Don’t quibble about $10 with larger amounts, B. Aiming for 1% profit prevents loss, C. With 50% margin, a more than 2% profit is needed to avoid loss Market Order and Slippage: Calculate slippage if a market order is filled at $20.08. Protecting Paper Profit: What percentage of gross profit did trading costs take when the stop is hit? Percentage of Gross Gain Taken by Trading Industry: What percentage of your gross gain was taken in the described scenario?

Introduction

To succeed in trading, one must outperform numerous competitors since the majority must lose for others to win. A successful trader learns to think and act differently from the market crowd. "The New Trading for a Living" offers several unconventional trading ideas, and this introduction

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encourages readers to reflect on their alignment with this unique thinking.

Questions for Reflection

1.
Decision-Making Methods:

- What long-term decision-making methods benefit traders?
  - Options:
    - A. Fundamental analysis
    - B. Inside information
    - C. Hunches and tips
    - D. Technical analysis

2.
Elements of Trading Success:

- Which of the following is unnecessary for trading success?
  - Options:
    - A. Trading psychology
    - B. Analytic method
    - C. Connections with market insiders
    - D. Money management method

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3.

Approach to Reading Trading Books:

- What is the best strategy when reading a trading book?
  - A. Test ideas on personal market data
  - B. Incorporate all ideas into work
  - C. Distrust the information provided
  - D. Consult other traders for effectiveness

4.

Causes of Trading Losses:

- Which is not a major cause of trading losses?
  - Options:
    - A. Slippage
    - B. Commissions
    - C. Emotional trading
    - D. Theft

5.

Understanding Trading Outcomes:

- What concept does the following scenario illustrate? Trader Jim wins while Trader John loses.
  - A. Zero-sum game
  - B. Positive expectations game

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- C. Random walk
- D. Minus-sum game

6.

Brokerage Commission:

- If you plan to buy shares at $20 with a $10 commission, determine the incorrect statement.
  - A. Don’t quibble about $10 with larger amounts
  - B. Aiming for 1% profit prevents loss
  - C. With 50% margin, a more than 2% profit is needed to avoid loss

7.

Market Order and Slippage:

- If a market order is filled at $20.08, calculate the slippage.

8.

Protecting Paper Profit:

- After adjusting a stop to protect profits, what percentage of gross profit did trading costs take when the stop is hit?

9.

Percentage of Gross Gain Taken by Trading Industry:

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- What percentage of your gross gain was taken in the described scenario?

This overview and the questions are intended to provoke critical thought and self-assessment for those embarking on the trading journey.

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Chapter 2 Summary : ONE: Individual Psychology



Key Concept	Description
Individual Psychology	Emotions are the greatest danger in trading; rational decision-making leads to profits.
Risk Attitude	A successful trader measures risks instead of avoiding them.
Goals of a Successful Trader	Focus on personal improvement rather than competing against others.
Advice on Losing Streaks	Reflect on trades to understand losses instead of seeking new systems aggressively.
Advantages of a Large Trading Account	Diversity and reduced expenses are key benefits, beyond just absorbing losses.
Understanding Commercial Trading Systems	Validated track records are essential as systems can fail in changing markets.
Signs of a Gambling Attitude	Includes the urge to trade and reckless behavior after losses.
Personal Sabotage	External problems may reflect internal issues needing attention.
Influence of Emotions on Trading	Fear and greed significantly impact trading equity and performance.
Celebrating Success	Stay grounded post-success and focus on the learning process.
Comparisons to Addiction	Like addicts, losing traders may hide issues and seek recovery without introspection.
Rehabilitation for Losers	Acknowledging the need for change is crucial for overcoming failures.
First Steps to Recovery	Accepting oneself as a "loser" can lead to initial improvement steps.
Cutting Losses Short	Recognizing weaknesses can facilitate this crucial strategy.
Essential Factors for Success	Learning from others and maintaining emotional control are more important than account size.

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Key Concept	Description
Understanding Market Complexity	Impulsive trading behavior often leads to a lack of understanding.
Initiating a Trade	Trades usually begin with market indicators showing overbought or oversold conditions.

Individual Psychology

Our greatest danger in trading comes from our own emotions. Rational decision-making leads to trading profits. A professional trader remains calm and knows how to react to market movements, whether up, down, or sideways. If emotions override decision-making—feeling elated in a winning market or fearful during downturns—trading actions become erratic and account performance suffers. This chapter includes questions aimed at enhancing awareness of trading psychology.

Key Questions and Insights

1.
Risk Attitude

- A successful trader measures risks rather than avoiding them.

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2.

Goals of a Successful Trader

- The primary focus is on personal improvement, not just beating others.

3.

Advice on Losing Streaks

- Traders should reflect on their trades and understand the causes of their losses instead of aggressively seeking out solutions like new systems.

4.

Advantages of a Large Trading Account

- Diversity and reduced expenses are key benefits, rather than simply the ability to absorb losses.

5.

Understanding Commercial Trading Systems

- A validated track record is essential, as systems can fail in changing markets.

6.

Signs of a Gambling Attitude

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- Classic signs include an irresistible urge to trade and reckless behavior after losses.

7.

Personal Sabotage

- A trader's external issues often reflect internal problems that need addressing.

8.

Influence of Emotions on Trading

- Feelings, especially fear and greed, significantly affect equity and performance.

9.

Celebrating Success

- Rather than increasing risk post-success, a trader should remain grounded and mindful of their learning process.

10.

Comparisons to Addiction

- Both losing traders and addicts may hide their issues and compulsively seek recovery without true introspection.

11.

Rehabilitation for Losers

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- Acknowledging the need for change is vital for recovery from trading failures.

12.

First Steps to Recovery

- Acceptance of one's status as a "loser" can facilitate the initial step toward improvement.

13.

Cutting Losses Short

- This strategy can stem from a recognition of one's weaknesses.

14.

Essential Factors for Success

- The ability to learn from others and maintain emotional control is more crucial than just having a good account size.

15.

Understanding Market Complexity

- A lack of clear understanding often results from impulsive trading behavior.

16.

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Initiating a Trade

- Trades typically start with market indicators suggesting potential overbought or oversold conditions.

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Example

Key Point:Control Your Emotions

Example:Imagine you're in a trading session, and prices are skyrocketing. Instead of getting overshadowed by excitement and making impulsive trades, you take a moment to breathe, assess the situation rationally, and decide to follow your trading plan meticulously. This discipline keeps you grounded and enhances your profitability, highlighting that managing emotions rather than succumbing to them is crucial for trading success.

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Critical Thinking

Key Point:Emotional control is paramount in trading success and risk management.

Critical Interpretation:Elder emphasizes the importance of managing one's emotions to maintain rational decision-making. This perspective underscores that emotional volatility, marked by fear and greed, can greatly impede a trader's ability to execute trades effectively and can lead to significant losses. However, this viewpoint may not universally apply, as some traders may thrive on a more instinctive approach, relying on gut feelings rather than strict emotional discipline. In trading, where markets can be erratic and influenced by numerous unpredictable factors, a rigid adherence to emotional control might overlook the potential benefits of a more dynamic strategy. For additional perspectives on trading psychology, consider the insights provided in 'Market Wizards' by Jack D. Schwager, which discusses various trader behaviors and approaches.

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Chapter 3 Summary : TWO: Mass Psychology

Mass Psychology

Whenever you engage in buying or selling, you are influenced by a large crowd of other traders, many of whom act out of greed and fear. This collective behavior creates significant waves of optimism and pessimism that can drive market trends. Understanding that crowds are strong yet primitive can help you align your trading decisions with prevailing market trends, while also recognizing when to exit before a trend turns.

It’s crucial to maintain objectivity while trading, as the emotions of the crowd can sway your judgments. Anyone has felt the power of a crowd, such as at rallies or concerts. This chapter includes questions that challenge your understanding of crowd psychology and its effects on trading. Reflecting on your own reactions—whether rational or irrational—during trading situations in light of these questions can be useful.

Questions Overview

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1.

What is Price?

- Price reflects the consensus of value among all market participants at the moment of trade.

2.

Identifying Incorrect Statements

- Various statements regarding buyers and sellers are analyzed to test understanding.

3.

When Unsure to Trade

- Strategies for decision-making when uncertain, including trading smaller sizes or seeking advice.

4.

Source of Trading Profits

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Chapter 4 Summary : THREE: Classical Chart Analysis

Section	Summary
Overview	The chapter introduces classical chart analysis, focusing on price and volume data rather than fundamental factors for trading decisions across various markets.
Chart Analysis	Traders learn to make decisions based on charts, with emphasis on recognizing patterns and signals amidst market noise and uncertainty.
Questions and Trials	Includes questions on price analysis, market behavior, and trading psychology to reinforce understanding and adapt strategies.
Key Concepts	Highlights the importance of support and resistance levels, market congestion, and price movements for assessing market conditions.
Trading Strategies	Encourages recognizing market patterns like "kangaroo tails" to identify entry and exit points, and adapting strategies based on trends.
Conclusion	Emphasizes the significance of technical analysis and a disciplined approach in navigating the complexities of trading.

THREE Classical Chart Analysis

The chapter discusses the revolutionary approach of classical chartists, emphasizing the use of price and volume data instead of fundamental factors for making trading decisions. Unlike fundamental analysis, which often requires specialization in narrow fields, technical analysis is universal and can be applied across various markets such as stocks, bonds, currencies, and futures. The accessibility of data on high, low, opening, and closing prices along with volume allows traders to gauge the balance of power between bulls

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and bears.
In this chapter, traders learn to make decisions based on charts. While recognizing patterns in the middle of a chart is straightforward, identifying strong trading signals near the right edge requires a deep understanding amidst market noise and uncertainty.

Questions and Trials

To reinforce understanding, the chapter provides several questions related to price analysis, trends, and trading strategies. These include matching statements about market behavior, evaluating analysis from different perspectives, and making decisions based on trade psychology and market conditions.
Key concepts covered include the importance of support and resistance levels, the impact of market congestion, and the significance of price rallies and declines. It stresses the need for traders to adapt their strategies based on market conditions and to recognize the characteristics of trends and trading ranges.

Important Trading Concepts

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- Understanding support and resistance is crucial for making informed trading decisions.
- The analysis of price movements can reveal market strength or weakness.
- Recognizing market patterns, such as "kangaroo tails," can assist in identifying potential entry and exit points.

Overall, the chapter emphasizes the significance of technical analysis in making sound trading decisions and the importance of a disciplined approach to navigating the complexities of the market.

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Chapter 5 Summary : FOUR: Computerized Technical Analysis

Section	Content
Introduction	The use of computers in trading has leveled the playing field between individual traders and institutions, enhancing analysis and reducing emotional decision-making.
Self-Assessment	Includes quizzes and questions for readers to evaluate their understanding of computerized market analysis.
Key Concepts in Computerized Technical Analysis	
1. Objectivity of Computerized Analysis	Removes emotional factors from trading decisions, improving prediction accuracy.
2. Types of Technical Analysis Software	Gray Box: Flexible indicator settings. Black Box: Generates buy/sell signals from market data. Toolbox: Collection of charting tools and indicators.
3. Technical Indicators	Oscillators: Indicate market psychology; may give false signals. Trend-following Indicators: Effective in trends; less so in sideways markets. Miscellaneous Indicators: Various analysis roles.
4. Moving Averages	Distinction between simple moving averages (SMAs) and exponential moving averages (EMAs), focusing on response speed and time window.
5. MACD	Explains MACD lines, histogram, and the control between bulls and bears in the market.
6. Directional Movement Indicators	Uses ADX for assessing market strength and directional signals.
7. Oscillators in Trading	Identifies market sentiment extremes and trends.
8. Stochastic and RSI	Used for determining overbought/oversold conditions and identifying trading opportunities.
Conclusion	Highlights the importance of computerized analysis and the need for mastery of techniques over reliance on software, with quizzes for understanding assessment.

Computerized Technical Analysis

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Introduction

In modern trading, the use of computers by analysts and traders has become commonplace. The reduction in costs for equipment, software, and data levels the playing field between individual traders and large institutions. Computers enhance the processing of market information and provide a more objective analysis.

Self-Assessment

The chapter includes quizzes and questions to assess the reader's grasp of computerized market analysis.

Key Concepts in Computerized Technical Analysis

1.
Objectivity of Computerized Analysis
:
- Computerized analysis helps remove emotional factors from trading decisions and aims to improve prediction accuracy.

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2.

Types of Technical Analysis Software

:

-

Gray Box

: Offers flexibility with indicator settings.

-

Black Box

: Generates specific buy/sell signals based on current market data.

-

Toolbox

: A collection of charting tools and indicators.

3.

Technical Indicators

:

-

Oscillators

: Indicate market psychology and catch turning points but can provide false signals during trends.

-

Trend-following Indicators

: Work well in trending markets but may falter when markets are sideways.

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-

Miscellaneous Indicators

: Serve various roles in market analysis.

4.

Moving Averages

:

- Understanding the distinctions between simple moving averages (SMAs) and exponential moving averages (EMAs), including the speed of response to price changes and the importance of the time window.

5.

MACD (Moving Average Convergence Divergence)

:

- Understanding the significance of MACD lines, histogram measures, and how they depict market control between bulls and bears.

6.

Directional Movement Indicators

:

- Using the ADX to gauge market strength and directional trading signals.

7.

Oscillators in Trading

:

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- Their role in identifying extremes in market sentiment and catching trends.

8.

Stochastic and RSI (Relative Strength Index)

:

- Implementation of these indicators for overbought and oversold conditions within the market and identifying trading opportunities.

Conclusion

This chapter underscores the importance of computerized analysis as a vital tool for traders while also emphasizing that success still depends on the understanding and mastery of techniques, rather than relying solely on software. Test yourself with provided quizzes to measure your comprehension of computerized technical analysis.

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Critical Thinking

Key Point:Limitations of relying solely on computerized systems in trading decisions.

Critical Interpretation:While computerized technical analysis can reduce emotional bias and enhance objectivity, it is crucial to acknowledge that these systems are not infallible. The assumption that they will always provide accurate signals can lead to disastrous outcomes for traders. As pointed out in works such as *Fooled by Randomness* by Nassim Nicholas Taleb, human oversight still plays an essential role in interpreting market anomalies and adapting to unpredictable variables that algorithms cannot account for. Thus, while the tools discussed in Elder's chapter can improve trading strategies, discerning successful trades ultimately requires a balance of machine insight and human judgment.

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Chapter 6 Summary : FIVE: Volume and Time

Chapter 6: Volume and Time

Introduction

Beginners tend to focus solely on price movements, whereas experienced analysts incorporate volume into their analysis, providing a deeper understanding of market dynamics. Linking price changes to the time taken for those changes is crucial, and trading decisions should consider multiple timeframes. The chapter also covers open interest, primarily relevant to derivatives markets such as futures and options.

Key Concepts of Volume Analysis

1.
Significance of Volume
: Volume offers insights into market participant behavior, indicating potential future price reactions, the activity level

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of winners and losers, and the emotional commitment of traders.

2.
Volume in Market Trends
:
-
Higher Volume
during a rally generally indicates healthy uptrends.
- Lower volume on pullbacks suggests a potential buying opportunity.
- Volume trends signal whether to take profits, hold, or short positions.
3.
On-Balance Volume (OBV)
:
- OBV can confirm bearish movements when reaching new lows and often peaks before price peaks.

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Chapter 7 Summary : SIX: General Market Indicators

General Market Indicators

Overview of Market Dynamics

Markets are influenced by the collective behavior of traders, leading to trends driven by mass psychology rather than just fundamental economic factors. Short- and intermediate-term trends are shaped by crowd sentiment, contributing to price movements that may reach unsustainable extremes.

Importance of General Market Indicators

General market indicators are crucial for traders, especially those dealing in stock index futures and options. These indicators provide insight into market trends that can affect individual stocks. They help traders in the U.S. and can also be adapted for use in international markets.

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Key Market Indicators Discussed

1.
New High–New Low Index (NH-NL)

- Measures the number of new highs and lows within a market, tracking the strength or weakness of stocks.
- A rising NH-NL indicates bullish sentiment, while a declining NH-NL suggests bearish sentiment.

2.
Advance/Decline Line

- Tracks the numbers of advancing versus declining stocks.
- A rising line indicates strength in the market, while a falling line indicates weakness.

Market Sentiment and Trading Decisions

- When bullish consensus reaches a record high, it often signals a market top, suggesting traders should consider selling.
- Conversely, a significant drop in bullish sentiment during a bear market can indicate a shift in market dynamics.

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Examples of Market Patterns

- Patterns such as bullish divergence (weakening bears) or bearish divergence (weakening bulls) provide signals for traders to adjust their positions (i.e., taking profits or entering new trades).

Conclusions

Traders should utilize general market indicators to gauge the overall market sentiment and trends. Effective tracking of these indicators can significantly enhance trading strategies, allowing for informed decisions between short and long positions based on prevailing market conditions.

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Example

Key Point:Understanding market sentiment is vital for effective trading strategies.

Example:Imagine you're a trader observing the stock market. As you notice the Advance/Decline Line rising steadily, it reveals that more stocks are advancing than declining, indicating a bullish trend. You decide to enter a position, anticipating that this momentum will continue. However, if you later see the New High–New Low Index start to decline, caution sets in; the sentiment could be shifting. This prompts you to reassess your strategy and possibly lock in profits, demonstrating how crucial it is to pay attention to these general market indicators to navigate the market's ebb and flow effectively.

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Chapter 8 Summary : SEVEN: Trading Systems

SEVEN TRADING SYSTEMS

A trading system is a structured approach for making decisions regarding entries, targets, and stops in trading. While it serves as a valuable tool, it is not a guaranteed method for achieving profits effortlessly. Instead, it is created thoughtfully in a calm environment, providing a stable and intelligent framework amidst market volatility. This chapter aims to assess the reader's understanding of various enduring trading systems and encourages considering these options either for trading directly or as inspiration for developing a personal system.

Questions and Answers

1.

Market Statements

- Question: Can the trend be up and down at the same time?

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- Possible Answers: I and II, III and IV, etc.

2.
Chart Focus

- Question: When analyzing a daily chart, what should be done?
- Possible Answers: Focus on the daily chart only, coordinate with weekly trends, etc.

3.
Steps in Exploring Trading Systems

- Question: What is an essential step?
- Possible Answers: Backtesting, forward-testing, keeping records, etc.

4.
Essential Trade Entries

- Question: Which number is not crucial to write down before a trade?
- Possible Answers: Entry price, potential profit, target, protective stop.

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5.

Triple Screen System Decisions

- Question: What should be done if the weekly MACD-Histogram slope is down?
  - Possible Answers: Go long, go short, stand aside, etc.

6.

Stochastic Reading

- Question: What action should be taken if the Stochastic rises to 85?
  - Possible Answers: Go long, go short, wait, etc.

7.

Weekly Trend and Force Index

- Question: What should be the next step if the trend is up but the Force Index is down?
  - Possible Answers: Wait for confirmation, place a buy/sell order, etc.

8.

Daily Trends and Divergence

- Question: What should be done if there is a bearish divergence in daily Force Index while the weekly trend is up?

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- Possible Answers: Buy immediately, short immediately, stand aside, etc.

Triple Screen Trading System Insights

9.
Trend Actions

- Match the weekly and daily trends with the corresponding actions: buy orders, sell short, stand aside.

10.
Impulse System Accuracy

- Identify which statement about the Impulse system is incorrect.

11.
Indicator Matching

- Match indicator readings with respective Impulse system messages.

12.
Impulse System Analysis

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- Determine potential actions based on colors from the Impulse system.

13.

Moving Average Channels

- Insights on the correct width of moving average channels and matching statements regarding market valuations.

This chapter emphasizes the importance of having a robust trading system while testing reader knowledge through specific scenarios and questions related to established trading strategies such as the Triple Screen Trading System and the Impulse System.

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Chapter 9 Summary : EIGHT: Trading Vehicles

EIGHT Trading Vehicles

Some professionals claim, “I don't trade stocks, futures, or options; I trade money in my account.” They prioritize system design and risk management, viewing their trading instruments merely as vehicles for capital movement in the desired direction.
You have a vast array of trading vehicles available. Before committing to a specific class or subset, it's beneficial to understand the other trading instruments at your disposal. This chapter aims to assess your knowledge of major trading instrument classes. As you review the questions, reflect on your current trading practices, which may inspire you to diversify your trading activities.

Questions

1.
Question 8-1:

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Which of the following is not a key consideration in selecting a trading instrument?

- Options: Liquidity, Volatility, Popularity, Time zones

2.

Question 8-2:

When buying a stock, what occurs?

- Options: You make a loan to the company, become an insider, profit if the company is successful, become a part owner of the company.

3.

Question 8-3:

Warren Buffett's advice for dealing with “Mr. Market” is to:

- Options: Buy when happy, sell when happy, sell when depressed, buy when depressed.

4.

Question 8-4:

Regarding ETFs, which statement is incorrect?

- Options: Offer a narrow choice of assets, loosely track

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Chapter 10 Summary : NINE: Risk Management

Section	Key Points
Importance of Risk Management	- Trading systems alone do not guarantee success. - Effective risk management is necessary. - Poor control of risk can lead to significant losses. - Understanding drawdowns is essential for survival.
Calculating Risk	- Professionals consider how much capital to risk per trade. - Trade size varies with market conditions and account equity.
Survival and Success	- Risk management is crucial for longevity in trading. - Aim for high scores in risk management practices.
Key Questions for Traders	- Be aware of emotional responses to wins and losses. - Understand reasons for holding onto losing trades. - Evaluate next steps after a loss and adhere to stops. - Implement the 2% Rule and other money management techniques.
Practical Rules and Strategies	- High profits should not come at the cost of survival. - Avoid margin calls and the practice of averaging down. - Use stop-loss orders to limit excessive losses.
Compliance with Money Management Guidelines	- Assess compliance with guidelines like the 2% Rule. - Avoid trading with inappropriate sizes for accounts.
Return from Drawdowns	- Start with smaller positions after significant losses. - Gradually increase trade size with improved performance. - Focus on risk management and adjust the 2% Rule as needed.

Risk Management in Trading

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Importance of Risk Management

- Brilliant trading systems do not ensure success in all trades.
- Effective risk management rules are essential in every trading system.
- Poor risk control can lead to significant losses.
- Understanding drawdowns and their impact on trading survival is crucial.

Calculating Risk

- Professionals focus on how much capital to risk on each trade.
- Trade size may vary based on market conditions and account equity.

Survival and Success

- Risk management is vital for a trader's longevity in the market.
- Traders should aim for an excellent score in risk management practices.

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Key Questions for Traders

- Recognize emotional responses to trades (joy in wins, disgust in losses) and their impact on decision-making.
- Understand reasons behind holding onto losing trades, including attachment and denial of being wrong.
- Evaluate the next steps after experiencing a loss and adhering to stops.
- Apply the 2% Rule and other money management techniques effectively.

Practical Rules and Strategies

- Achieving high profits should not compromise survival in trading.
- Avoiding margin calls and averaging down are critical.
- Stop-loss orders protect against excessive losses.

Compliance with Money Management Guidelines

- Traders should assess their compliance with rules like the 2% Rule.
- Avoiding risks such as trading with inappropriate sizes for

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accounts is essential.

Return from Drawdowns

- After significant losses, it’s important to start with smaller positions.
- Gradually increase trading size based on performance improvement.
- Focus on risk management and adjust the 2% Rule as necessary.

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Example

Key Point:The importance of strict risk management

Example:Imagine you just executed a trade and felt the thrill of potential profit; however, without solid risk management, that exhilaration could quickly turn into despair if the market moves against you. You remember Elder's advice as you recognize the need to limit your maximum risk to only 2% of your total trading capital, sparking a strategic mindset. This helps you maintain emotional control and encourages disciplined trading, minimizing your losses and ensuring you're still in the game to capture future opportunities. By adhering to these risk rules, you secure your survival in the trading arena, showing that trading is not just about making money, but also about protecting what you have.

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Critical Thinking

Key Point:The paramount importance of risk management in trading is emphasized.

Critical Interpretation:Elder stresses that even the most sophisticated trading systems do not guarantee success, highlighting that effective risk management practices are essential to mitigate potential losses. While he provides a framework—which includes calculating appropriate risk per trade and adhering to the 2% Rule—traders should critically evaluate these methods and consider whether they align with their individual trading style and psychological resilience. It's worth noting that some experts, like Nassim Nicholas Taleb, advocate for alternative approaches to risk that challenge conventional strategies, suggesting that a more nuanced understanding of risk could lead to diversified strategies devoid of strict percentage limits. Thus, while Elder's insights are valuable, they may not be universally applicable or guaranteed to suit every trader's context.

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Chapter 11 Summary : TEN: Practical Details

Chapter 11 Summary: Practical Details

Introduction to Trading Decisions

The chapter begins with a narrative about a trader inquiring whether to buy or sell at the right edge of a gold chart. The expert's indecisiveness illustrates a critical point in trading: timely decision-making is essential. Traders must know their actions—whether to buy, sell, or stand aside—at the moment they analyze the market.

Legitimate Choices in Trading

Standing aside is noted as a valid choice for traders. When opting to trade, a trader must determine the entry point, set profit targets, and establish stop-loss orders. This chapter emphasizes the necessity of making these choices under pressure and outlines various methods traders utilize.

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Methods of Entering Trades

Different methods for entering trades are reviewed, highlighting that certain strategies can be less advisable. For instance, buying breakouts above specific levels can carry risks, while more prudent options include pullbacks to value zones.

Profit Target Considerations

Setting profit targets is discussed with an emphasis on utilizing moving averages and market channels. Understanding market behavior during uptrends and downtrends is crucial for establishing effective profit targets.

Stop-Loss Strategies

The chapter also addresses stop-loss placements, which help manage risks and define a maximum loss. It highlights techniques to avoid being influenced by market noise and offers guidelines for strategically placing stops.

Evaluating Trades

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The importance of assessing the quality of trades is covered, drawing attention to measures like buy and sell grades based on market data.

Scanning for Trading Opportunities

Finally, the chapter touches on the use of scanning techniques to find potential trades, clarifying how negative filters can be applied to exclude stocks that do not meet desired criteria.
In summary, Chapter 11 of "The New Trading for a Living" focuses on the nuts and bolts of trading, emphasizing the importance of decisive action, strategic planning for entries and exits, and effective risk management.

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Example

Key Point:Timely Decision-Making in Trading

Example:Imagine you're watching a volatile gold chart; should you buy in now or wait? This moment of uncertainty emphasizes that you must be prepared to make decisive trading decisions based on your analysis, knowing the precise action to take whether it's to seize an opportunity or stand aside.

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Chapter 12 Summary : ELEVEN: Good Record-Keeping

Section	Summary
Good Record-Keeping	Essential for identifying mistakes, clarifying strategies, and integrating psychology, market analysis, and risk management to enhance discipline and performance.
Key Questions	
1. Good Record-Keeping Accomplishments	Greater discipline, less impulsive trading, stops mistakes, and teaches the trader.
2. Importance of Routine Morning Homework	Wakes up the trader, reviews news and previous performances, adjusts stops.
3. Daily Psychological Self-Test Purpose	Evaluate mood, identify non-trading days, prepare for larger trades on good mood days.
4. Trade Plan Essentials	Includes strategy, entry/exit points, and risk amount (not profit goals).
5. Trade Apgar Use	Enhances preparation with a maximum of five questions, detailing responses, and utilizing varied answers.
6. Tradebill Focus Before a Trade	Details entry, exit, stop, earnings reports, strategy, risk, and position size.
7. Tradebill Documentation After Entering a Trade	Records stop placements, movements to breakeven, diary entries, and targeted profits.
8. Reviewing Closed Trades Statement	Focus on current trades while learning from past mistakes to avoid repetition.
9. Educational Aspect of a Trade Journal	Documenting strategy, entry/exit, and trade grades for learning and improvement.

Good Record-Keeping

Keeping good records is essential for traders to identify past mistakes and prevent repetition. It clarifies profitable strategies, allowing traders to replicate success in the future. Effective record-keeping integrates psychology, market

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analysis, and risk management, making it a vital tool for developing discipline. By learning from experiences, traders can enhance their performance and grow in their trading careers.

Key Questions

1.
What does good record-keeping accomplish?

- Greater discipline
- Less impulsive trading
- Stops mistakes
- Teaches the trader

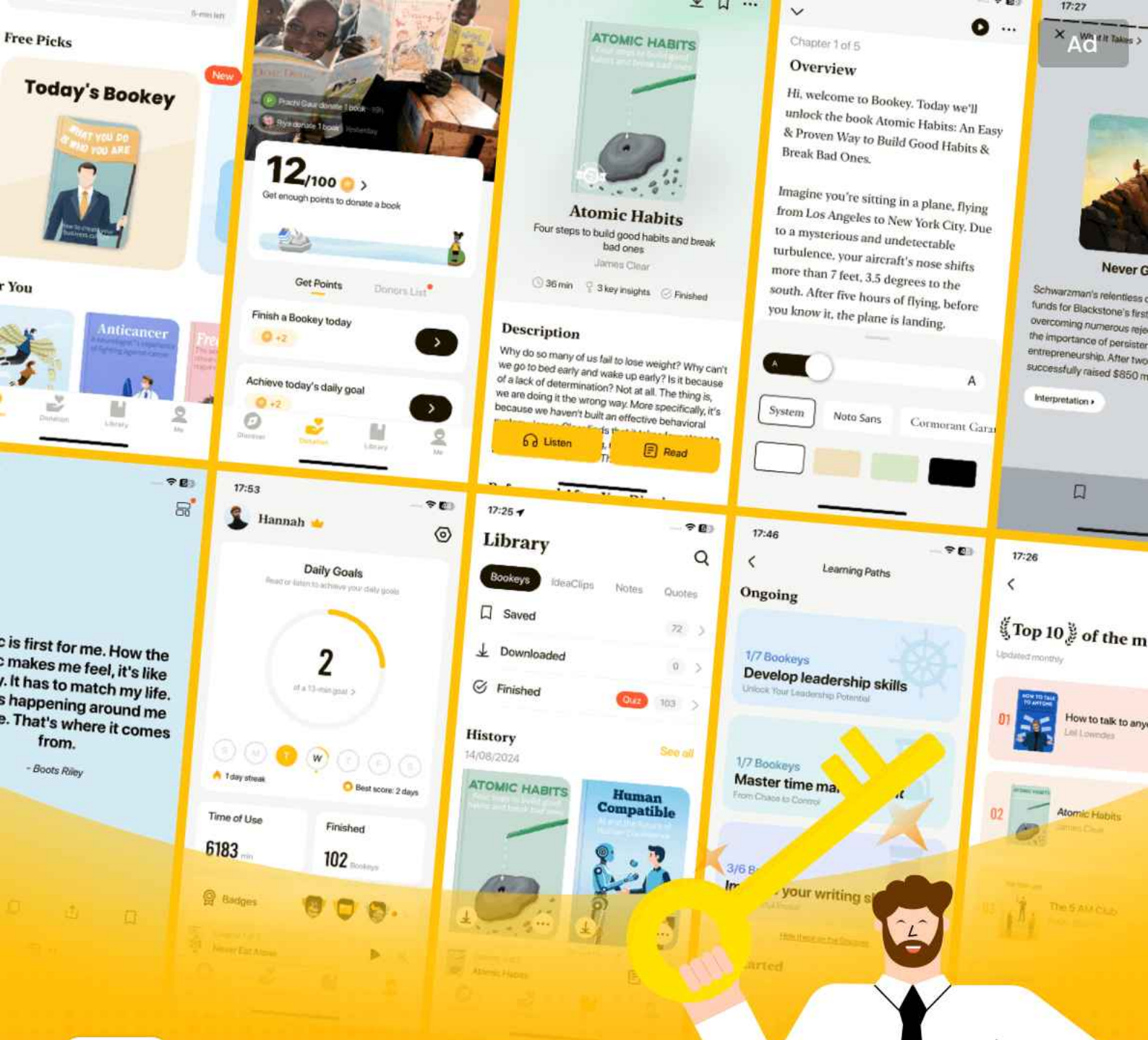
2.
What is the importance of routine morning homework?

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Chapter 13 Summary : Introduction

Chapter 13 Summary: The New Trading for a Living

Introduction

This chapter discusses the integration of fundamental and technical analysis in trading. While fundamental analysts look at economic conditions, technical analysts focus on market behavior. Trading tips should be approached with caution as they can often arrive late and lack guidance on exit strategies. Utilizing inside information is illegal in many countries.

Key Pillars of Trading

1.
Foundational Elements

- Successful trading relies on sound psychology, effective analytic methods, and diligent money management.

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- A knowledgeable trader can function as their own insider.

2.

Skepticism and Experience

- Maintain a mindset of benign skepticism; test ideas against personal experience.
- Start trading with small sizes and gradually increase as confidence builds.

Challenges in Trading

1.

Hidden Costs

- Traders face obstacles such as slippage and commissions, which skew the trading environment.
- Emotional trading exacerbates losses.

2.

Understanding Transaction Costs

- Commissions are charged both on buying and selling, which can significantly impact trading returns, especially for smaller accounts.
- The example provided illustrates how seemingly small

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commission fees can accumulate and take a substantial portion of profits over numerous trades.

Strategies for Managing Costs

1.
Selectivity in Trading

- Be selective with trades to minimize costs.
- Carefully weigh each trade plan before execution.

2.
Dealing with Slippage

- Slippage can equal or exceed commission costs, highlighting the importance of using limit orders for entry.
- Implement “market if touched” orders for timely exits to mitigate losses from slippage.

3.
Expense Reduction

- Seek lower commission rates from brokers and utilize limit orders wherever possible to reduce overall trading costs.

Self-Assessment

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A self-assessment helps gauge understanding of key concepts in trading. Ratings are provided, with suggestions for improvement based on scores:

-

0-3 Correct:

Need to revisit foundational concepts.

-

4-6 Correct:

Good grasp of basic ideas; further study recommended.

-

7-9 Correct:

Excellent understanding of critical concepts; prepare for advanced topics in psychology and risk management.

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Chapter 14 Summary : ONE: Individual Psychology

Individual Psychology in Trading

Risk and Reward

Trading involves inherent risks due to the uncertainty of future outcomes. Unlike amateur traders who react emotionally to the market, professional traders assess risks in advance and trade only when conditions are favorable.

Pursuit of Personal Best

Traders should focus on self-improvement rather than monetary gains or impressing others. Similar to a surgeon's focus during surgery, traders must concentrate solely on their trading performance to achieve their best.

Learning from Mistakes

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Mistakes should be viewed as learning opportunities. Identifying the reasons behind losses and correcting them is essential for future success. Blindly attempting to recover losses with new strategies is often futile.

Importance of Account Size

Having a larger trading account can facilitate diversification and efficient use of resources. However, beginners often squander this advantage due to reckless spending because they feel financially secure.

System Choice for Trading

Commercial trading systems can become obsolete as market conditions change. Traders who develop their own systems can adapt as needed, unlike those who rely on purchased systems without personal involvement.

Gambling vs. Trading

A key indicator of gambling behavior is the inability to stop trading during unfavorable conditions. Serious traders learn from losses, while gamblers continue their compulsive

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behavior.

Discipline in Trading

Successful trading is contingent on personal discipline. Traders must recognize common behavioral issues that affect their performance and rectify them in both trading and personal life.

Emotional Influence on Trading

Winning does not require superior intelligence, but rather better discipline. Emotional states, such as fear and greed, directly affect trading decisions. A confused mind leads to poor judgment.

Responsibilities in Trading

Traders must accept responsibility for their losses, which eliminates false beliefs and sets a realistic foundation for improvement. Personal accountability is crucial for development.

Calmness and Planning

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Being calm and disciplined is fundamental to trading success. Establishing and following a trade plan helps combat emotional trading. Personal traits are more influential on trading outcomes than external factors.

Self-Evaluation and Awareness

Traders should evaluate their performance honestly. Low self-awareness may indicate a need for further education in trading psychology. Successful trading demands independent thought and realistic perspectives.

Assessing Trading Knowledge

Traders can self-assess their understanding of trading psychology through a rating system. This can guide further study and improvement to reach trading goals.

Recommended Reading

- "The Disciplined Trader" by Mark Douglas
- "Reminiscences of a Stock Operator" by Edwin Lefevre

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Critical Thinking

Key Point:Discipline over Emotions in Trading

Critical Interpretation:One key takeaway from Elder's insights relates to the significance of discipline over emotional responses in trading. He posits that emotional states such as fear and greed not only cloud judgment but also severely hinder effective decision-making in the financial markets. However, while this viewpoint emphasizes the need for emotional regulation and self-discipline, it is essential to recognize that not all individuals may respond to discipline in the same way due to varying personality types and psychological complexities. Psychological research, such as that presented in "Thinking, Fast and Slow" by Daniel Kahneman, suggests that unconscious biases and heuristics play significant roles in decision-making. Thus, while discipline is undeniably important, an over-reliance on it without considering individual psychological factors may not yield universally successful results.

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Chapter 15 Summary : TWO: Mass Psychology

Mass Psychology in Trading

Understanding Price Movements

Prices in the market are determined by orders from crowd members, reflecting their consensus on value. While fundamental values play a role in long-term pricing, day-to-day fluctuations are influenced by crowd psychology.

Trading with the Dominant Group

Bulls aim to buy low and bears to sell high, racing to secure positions before others intervene. Successful traders identify which group is currently dominant to trade in line with them, avoiding the pitfalls of forecast-heavy mindsets.

Avoiding Impulsive Trades

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Poor planning often leads to impulsive trading driven by external factors like media consumption. A solid rule is “when in doubt, stay out,” emphasizing the importance of clarity in decision-making before executing trades.

Defensive Trading Strategy

Profits derive from the accounts of other traders, highlighting the need for defensive strategies as market participants may act to take your money. Brokers and exchanges also profit regardless of individual outcomes.

The Impact of Crowds on Trading

Joining a crowd can impair independent thinking and make traders impulsive, increasing market volatility. Crowds tend to follow trends until substantially shaken by losses.

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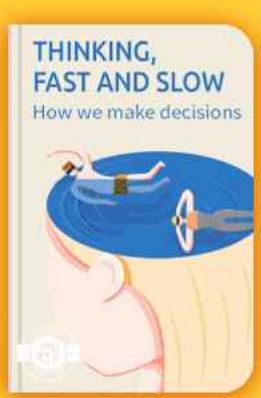
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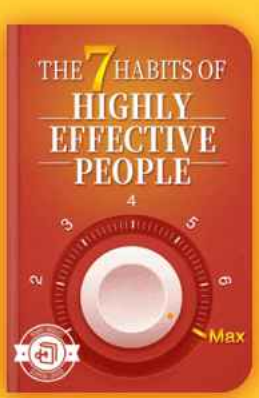
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Chapter 16 Summary : THREE: Classical Chart Analysis

Classical Chart Analysis

Understanding Market Dynamics

Amateurs typically gather information after work and trade in the morning, while professionals remain responsive to market changes throughout the day and dominate near closing. Buying and selling can indicate the power of bulls and bears, respectively, and this applies across all chart timeframes.

The Role of Timeframes

Analysts often face confusion due to wishful thinking and fuzzy definitions. It's common for markets to trend differently across various timeframes, leading to different profitable conclusions among good analysts.

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Slippage and Quiet Days

Slippage tends to be lower on narrow-range, quiet days, which can improve entry points, but does not affect commissions.

Identifying Support and Resistance

Support and resistance levels are marked at price peaks and troughs. As prices rally and decline, these levels can switch roles from resistance to support and vice versa.

Trader Memory and Market Behavior

Support and resistance exist due to traders' memories. High volume indicates strong financial commitment, amplifying support and resistance levels, especially at congestion areas.

False Breakouts and New Lows

Before shorting, it's effective to wait for a new low to confirm a downside breakout, as false breakouts can be particularly misleading for amateurs.

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Recognizing Trends

Trends indicate a pattern of rising or falling prices, and traders should capitalize on these while protecting positions with stop-loss orders. False breakouts may provide the best signals in technical analysis.

Tails and Market Rejection

Tails on price charts suggest rejections of certain price levels by traders, indicating potential trading opportunities in the opposite direction.

Self-Assessment on Chart Reading

Readers are encouraged to assess their chart reading skills, guiding them to revisit core concepts if necessary, depending on their score.

Recommended Reading

- Edwards, Robert D. & John Magee, *Technical Analysis of Stock Trends*
- Pring, Martin J., *Technical Analysis Explained*, 5th

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Edition.

This chapter emphasizes mastering chart analysis for improved understanding of market dynamics, supporting better trading decisions.

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Chapter 17 Summary : FOUR: Computerized Technical Analysis

Summary of Chapter 17: Computerized Technical Analysis

Objective Nature of Computerized Technical Analysis

Computerized technical analysis provides a more objective approach compared to classical charting, enabling clear evaluation of market indicators—whether they are trending up, down, or flat. Traders utilize this analysis to assess the balance of power between bulls and bears rather than to predict future market outcomes. It's important to remain cautious of promises for "sure things" in trading.

Toolbox of Indicators

A toolbox for trading consists of diverse analytic and charting tools. Different systems (black boxes, gray boxes)

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are outlined, highlighting the necessity to combine indicators from varied groups. This helps to offset negative aspects while maintaining positive features.

Moving Averages (MAs)

- Simple Moving Averages (SMAs) are easily calculated by averaging closing prices within a specified time frame.
- Exponential Moving Averages (EMAs) are utilized to indicate market control. A rising EMA suggests bulls are in control, while a declining EMA indicates the bears have the advantage.
- Trading strategies should align with the direction of the EMA, utilizing pullbacks and rallies for entry points.

MACD and Its Signals

- The MACD indicator helps illustrate market strengths, with its histogram tracking the difference between fast and slow MACD lines.
- A new high in the MACD histogram indicates strong bullish power, while a new low reflects bearish control, guiding traders to enter trades aligned with the current momentum.

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Directional Movement and ADX

- The Average Directional Index (ADX) measures market strength; a rising ADX above both Directional Lines indicates the potential end of a directional move and possibly increased volatility.
- Traders should adapt their strategy based on the state of the ADX and avoid trend-following methods when its strength is low.

Oscillators and Their Interpretation

- Oscillators measure the current control between bulls and bears, marking extremes in market sentiment.
- While overbought and oversold conditions help identify potential market tops and bottoms, the effectiveness of oscillators can diminish during trending markets.
- Divergences observed in oscillators can signal possible trend reversals.

Trading Signals from Stochastic and RSI

- The Stochastic oscillator provides signals for potential buy

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or sell opportunities when it reaches its reference lines, reflecting market momentum.
- The RSI identifies overbought and oversold conditions, with divergences serving as strong indicators for market movements.

Self-Assessment and Understanding of Technical Analysis

- The chapter concludes with a self-assessment quiz, allowing readers to evaluate their understanding of computerized technical analysis. Results categorize knowledge levels, prompting further learning if necessary.

Recommended Reading

- For deeper insights, John J. Murphy's "Technical Analysis of the Financial Markets" is suggested as essential reading.

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Chapter 18 Summary : FIVE: Volume and Time

Chapter 18 Summary: Volume and Time in Trading

Understanding Volume and Emotion

- Each trade reflects a commitment by a buyer and a seller; hence, volume showcases both winners and losers.
- Volume often increases during panic selling, reflecting current activity without predicting the future.

Trends and Volume Relationship

- Steady or rising volume supports trend persistence.
- Trends usually conclude with either a surge or significant reduction in volume.
- A trend may reverse when prices reach new highs or lows while volume decreases.

Open and Close Prices

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- Opening prices are often driven by amateurs, while closing prices are managed by professionals.
- Accumulation/Distribution assesses daily volume in relation to opening and closing prices.

Open Interest Mechanics

- Open interest indicates the balance between long and short positions in the derivatives market.
- It increases with new buyers and sellers, while it decreases when existing positions are closed.

Force Index and Trend Analysis

- The Force Index combines price direction, extent of change, and trading volume.
- A smoothed Force Index can help identify trend reversals

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Chapter 19 Summary : SIX: General Market Indicators

SIX General Market Indicators

New Highs and New Lows

New Highs refer to stocks reaching their highest levels in a year, while New Lows are stocks hitting their lowest levels within the same timeframe. New Highs indicate bullish strength, while New Lows show bearish weakness. The New High–New Low Index (NH-NL) measures the difference between these leaders, serving as a leading indicator for the stock market.

Bullish and Bearish Signals

When the market rallies and the NH-NL reaches a new high, it suggests growing bullish leadership, warranting long positions. Conversely, a new low in NH-NL during market declines indicates strengthening bearish leadership, advising

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short positions. Divergences in NH-NL provide insights into trend strength, signaling potential reversals.

Market Indicators and Divergences

NH-NL's bullish zone is above the zero line, ideally above plus 100, while its bearish zone is below the zero line, ideally below minus 100. Divergences between NH-NL and major indices can signal buy or sell opportunities, highlighting the strength or weakness of the current trend.

A/D Line and Mass Participation

The A/D (Advance/Decline) line gauges market participation. A rising A/D line indicates sustainability in rallies, while a declining line suggests continued declines. The A/D line's patterns are crucial for traders, as it reflects price changes instead of volume.

Investor Sentiment and Market Trends

High bullish consensus, particularly above 75%, indicates possible market reversals. Traders should prepare for shorting opportunities when sentiment peaks, as an influx of

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poorly capitalized newcomers often precedes market tops.

Position Limits and Trading Regulations

Position limits dictate the maximum contracts a speculator may hold in various markets, with hedgers exempt. Awareness of these rules is crucial, as trading on inside information can be legal in futures markets.

Market Predictions and Insider Buying

Indicators such as insider buying can signal bullish trends, but confirmation through price action is necessary. Acknowledging the state of the market—whether bull or bear—is essential for prudent investment decisions.

Self-Assessment Quiz

Evaluate understanding of indicators on a scale of 0-12, with ratings informing traders of their knowledge regarding market behavior and the use of indicators. Continuous learning through recommended readings enhances trading strategy and market insight.

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Critical Thinking

Key Point:Investor Sentiment and Market Trends

Critical Interpretation:Elder's belief that high bullish sentiment indicates potential reversals may not hold true in all market conditions, as history shows that extreme optimism can persist for longer than expected before a downturn occurs. This perspective invites skepticism and highlights the need for careful analysis using multiple indicators, reflecting the complexity of market dynamics. Support for this notion can be found in works like "Behavioral Finance" by Robert Shiller, which discusses how market sentiment often leads to irrational exuberance.

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Chapter 20 Summary : SEVEN: Trading Systems

Chapter 20 Summary: Trading Systems

Introduction to Trends and Signals

- Trends can diverge across different timeframes, leading to conflicting signals. For example, a daily chart may indicate an upward trend while a weekly chart suggests a downward trend.
- The Triple Screen trading system is designed to reconcile these contradictory signals.

Triple Screen Trading System Guidelines

1.
Identifying Trends
: Start by analyzing a higher timeframe chart (e.g., weekly) to determine the trend before looking for trades in that direction on a lower timeframe chart (e.g., daily).

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2.

Record Keeping

: Maintaining detailed records of signals, actions, and outcomes is vital for testing and refining the trading system.

3.

Trading Structure

: Record the entry, target, and stop-loss before executing trades to provide direction and risk assessment.

4.

Directional Choices

: The first screen of Triple Screen limits choices to trading only in the direction of the long-term trend.

Executing Trades Using Triple Screen

- Align short-term trades with the long-term trend by using short-term oscillator fluctuations for entry points.
- In instances where a higher timeframe trend is upward but a lower timeframe shows a decline, look for buying opportunities on pullbacks.

Understanding Technical Indicators

- The Impulse system uses the direction of both the EMA and

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MACD-Histogram to determine market conditions and restricts trading activities accordingly.
- It signals when to avoid buying or shorting based on its red (bearish) or green (bullish) indicator, turning blue when the indicators contradict.

Market Channels and Trading Opportunities

- Construct channels to define normal price boundaries and adjust until they contain the majority of price action.
- A rising channel slope indicates bullish conditions, while a declining slope suggests bearish conditions, providing insight into potential trading strategies.

Self-Assessment of Trading Knowledge

- The chapter includes a self-assessment tool to evaluate understanding of trading systems, categorizing responses as poor, fairly good, or excellent.
- Continuous learning and review of trading principles are essential for successful trading.

Recommended Reading

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- "Trading Systems and Methods" by Perry Kaufman for further insights into trading strategies.

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Chapter 21 Summary : EIGHT: Trading Vehicles

Trading Vehicles

Understanding Trading Vehicles

1. Trading in liquid, high-volume vehicles minimizes slippage.
2. Volatile instruments present more trading opportunities.
3. Focus on markets that operate during your active hours for better engagement.
4. Popularity doesn’t guarantee opportunity; liquidity and volatility are key.

Bonds vs. Stocks

1. Bonds are loans; stocks represent ownership in a company.

2. Insider trading is limited to major stakeholders, and company profitability does not always lead to a rise in stock

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prices.

Market Behavior and Investment

1. Warren Buffett compares stock investment to dealing with an emotional market counterpart—Mr. Market.
2. Buy when the market is low and sell when it's high.

Exchange-Traded Funds (ETFs)

1. ETFs hold various asset groups, but performance can lag due to expenses.
2. Prices may diverge from the asset groups they represent.

Options Trading

1. Calls are bets on rising stocks; puts on falling stocks.
2. Options lose value near expiration; volatility affects their

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Chapter 22 Summary : NINE: Risk Management

Summary of Chapter 22: Risk Management

Emotional Trading

- Emotional trading is detrimental to success. Greed and fear can undermine an account's stability.
- Intelligent trading requires calmly evaluating potential gains and risks.

Understanding Losses

- Traders must face losses realistically rather than cling to hope.
- Adding to losing positions reflects an unwillingness to accept reality.

Survival in Trading

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- Trader A can quickly go broke after consecutive losses, while Trader B is more resilient due to greater capital.
- The primary goal of money management is survival, followed by steady and high returns.

Money Management Rules

- Established rules are essential for protecting capital and ensuring smart trading practices.
- Focus on risk control, particularly through the 2% Rule, which limits the maximum dollar risk per trade.

Trade Management

- Counted money in open trades can lead to emotional decisions; set profit targets before entering trades.
- Stops should always be placed immediately upon entering a trade and adjusted only favorably.

Risk Assessment

- Traders must constantly assess their risk against account limits.
- The Iron Triangle helps clarify maximum acceptable risk

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and trade parameters.

Drawdown Management

- The 6% Rule helps protect against severe drawdowns by enforcing early trading cessation.
- Focus on limiting risks rather than concentrating on profits during drawdowns.

Post-Loss Trading

- After experiencing losses, trade cautiously: lower risk, have realistic goals, and gradually increase trading size.

Self-Assessment

- A scoring system evaluates the understanding of money management, indicating areas for improvement.

Recommended Reading

- Suggested literature aims to enhance understanding of portfolio management within the context of trading.

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Chapter 23 Summary : TEN: Practical Details

Practical Details

Buying Strategies

- Depending on your bullish outlook, consider buying on breakouts above the previous day's high, pullbacks to value, or dips into previous pullback zones.
- Avoid buying above the upper channel line, where bullishness may peak and reversals are likely.
- In an uptrend, consider buying during pullbacks below value rather than trying to catch the very bottom of a pullback.

Channel Trading Insights

- A well-designed channel encapsulates most market swings, making its upper boundary a target for potential profits.
- Expect prices to rise significantly more above the EMA

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during uptrends than they dip during pullbacks.

Long-Term Trading Considerations

- For long-term trades, caution is advised when using sensitive indicators like moving averages for profit-taking, as they may lead to premature exits.
- Use support and resistance levels to set more reliable profit targets.

Stop-Loss and Profit Target Strategy

- Establishing stop-loss orders and profit targets helps to measure reward/risk ratios.
- Recognize that while stop losses can help mitigate risks, they do not always guarantee protection due to potential price gapping.

Setting Stops Correctly

- Placing stops beyond market noise zones can decrease the likelihood of being stopped out prematurely by whipsaws.
- Avoid placing stops at highly visible price extremes or round numbers; instead, keep them slightly away from these

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points for better risk management.

Buying and Selling Techniques

- When buying, aim to execute orders close to the low of the price bar and as far from its high as possible, enhancing your position grade.
- Conversely, for selling, strive to sell near the high of the price bar to obtain a better trade grade.

Overall Trade Evaluation

- The overall trade grade is paramount, as it reflects how much of the channel's swing potential you've captured.
- A successful trade involves capturing a significant portion of the channel height.

Scanning for Trade Candidates

- Utilize scans to identify potential trading candidates but remember that a scan does not guarantee profitable trades.
- Customize scan parameters to exclude undesirable stocks based on your set criteria.

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Self-Assessment and Improvement

- Rate your performance by reflecting on the correctness of your answers to practical concepts.
- Understanding entries, targets, stops, and performance measurement is crucial for trading success; ensure continuous learning and self-review.

Conclusion

- A trader's journey includes consistent evaluation of strategies, risk management, and understanding market behaviors to improve trading effectiveness and outcomes.

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Chapter 24 Summary : ELEVEN: Good Record-Keeping

Good Record-Keeping

Importance of Record-Keeping

Keeping good records helps traders learn from their experiences, improve discipline, and reduce impulsivity. While it won’t prevent mistakes, it aids in understanding and correcting them.

Morning Preparation

Morning homework plays a crucial role in trading preparation by reviewing the previous day’s performance and adjusting stops. It's essential to focus on factors relevant for the current trading day, such as overnight market behavior and scheduled fundamental reports.

Assessing Readiness for Trading

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Traders must evaluate their health, mood, and homework completion before trading. A self-test can determine readiness. Trading should not occur on days when one feels unprepared or unwell.

Trade Strategy and Risk Management

Define your trading strategy, including entry, target, and stop levels. Allocate a specific risk amount to each trade, allowing for proper risk control and decisions on share quantities. Focus on trade quality rather than profits until trades are closed.

Trade Planning with Trade Apgar and Tradebill

The Trade Apgar is a quick five-question tool to determine a stock's suitability for a trade plan. If a stock qualifies.

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Chapter 1 | Quotes From Pages 6-9

1. To win in trading, you must outperform masses of competitors. The majority must lose in order to pay those who win.
2. You must learn to think and act differently from the market crowd.
3. The aim of this Introduction is to pause at the beginning of the journey and to see whether you are in tune with some of the unconventional thinking about trading.
4. The best approach to reading a book on trading is to test all the ideas that interest you on your own market data.
5. Don't trust what you read—why would anyone share good trading ideas?

Chapter 2 | Quotes From Pages 10-16

1. Your greatest danger in trading comes from the

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person holding this book—you.

2.Our emotions often tip the scale between winning and losing.

3.A professional trader is calm and collected.

4.When the mind becomes clouded by greed or fear, even the best trading systems fly out the window.

5.You can afford to lose more. You can diversify among more markets. You can trade different systems. Your expenses represent a smaller percentage of your account.

6.Fear and greed have a greater impact on your equity than a brilliant trading system.

7.The main similarity between a losing trader and an alcoholic is: Losers hide the extent of their losses from themselves and others, just as alcoholics hide how much they drink.

8.The first step in a losing trader's recovery is to say, 'I am a loser.'

9.The most important factor in becoming a successful trader is using written trading plans and avoiding emotional

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decisions.

Chapter 3 | Quotes From Pages 17-21

1. Crowds are extremely powerful—it makes no sense to fight them.
2. It is hard to remain objective when analyzing markets because crowds suck us in.
3. When a person joins a crowd, he becomes more impulsive and emotional.
4. Market crowds are almost always wrong.

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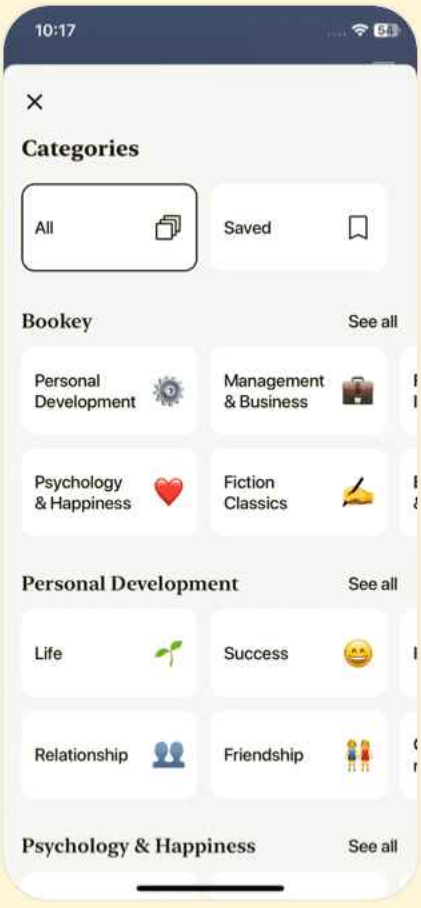
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Chapter 4 | Quotes From Pages 22-27

1. As long as you have the data on high, low, opening, and closing prices, along with that on volume and open interest, you can make intelligent judgments about the balance of power between bulls and bears in any market.
2. It's relatively easy to recognize patterns in the middle of a chart, but good trading signals are much harder to identify near the right edge.
3. In all probability, one or two of them may be guilty of wishful thinking; they may not have agreed on the basic definition of a trend.

Chapter 5 | Quotes From Pages 28-35

1. Buying the best car will not automatically turn a beginning driver into an expert.
2. Computerized technical analysis is more objective than classical charting.
3. A collection of charting tools and indicators.
4. Exponential moving averages work better than simple MAs

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for all of the following reasons, except, that EMAs are easier to calculate by hand.

Chapter 6 | Quotes From Pages 36-43

1. All trading decisions have to be made by analyzing more than one timeframe.
2. Volume reflects all of the following, except: How market participants will react to future price changes.
3. Rising open interest shows that bulls are confident and aggressive.
4. Prices open below the previous day's close and close lower. Prices open above the previous day's open and close higher.
5. Traders can analyze markets in greater depth by looking at them in two timeframes.

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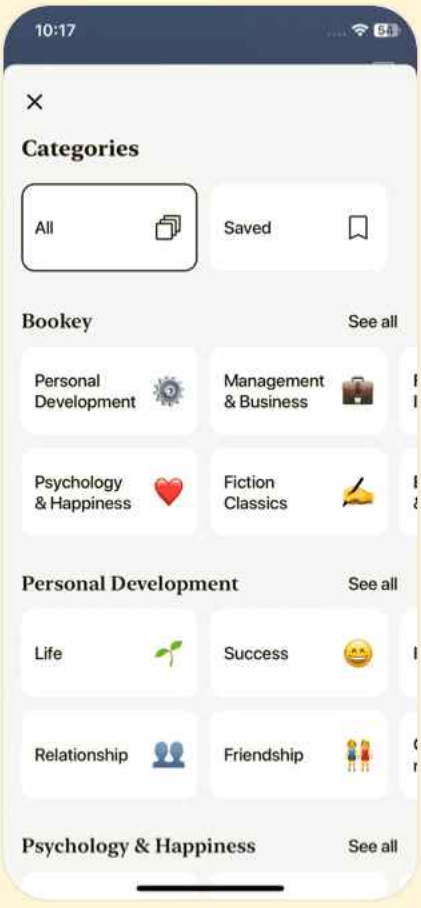
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Chapter 7 | Quotes From Pages 44-50

1. Markets consist of huge crowds of traders whose buying and selling create waves of mass optimism and pessimism.
2. Fundamental economic factors may rule the markets in the long run, but mass psychology determines intermediate- and short-term trends.
3. General market indicators are especially important to those who trade in the United States, where several advisory services track them.
4. Bearish leadership is strong; trade from the short side. Bullish leadership is strong; trade from the long side.
5. During a powerful uptrend, bullish consensus rises to 75 percent. This means that an average bull has invested three times more money than an average bear.

Chapter 8 | Quotes From Pages 51-57

1. A carefully crafted system becomes your island of stability and intelligence in the stormy environment of the market.

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2.This chapter will test your knowledge of several trading systems that have stood the test of time.

3.You develop a trading system in the quiet of your office, when the noise of the markets has quieted down.

4.A trusted system will help you maintain control at a time when the tide of mass emotion sweeps people off their feet.

Chapter 9 | Quotes From Pages 58-64

1.I don't trade stocks, futures, or options; I trade money in my account.

2.You have an enormous choice of trading vehicles.

3.It pays to know what other instruments are available to you.

4.You may even decide to broaden your attention and trade another type of instrument.

5.Buy when Mr. Market is happy. Sell when Mr. Market is depressed.

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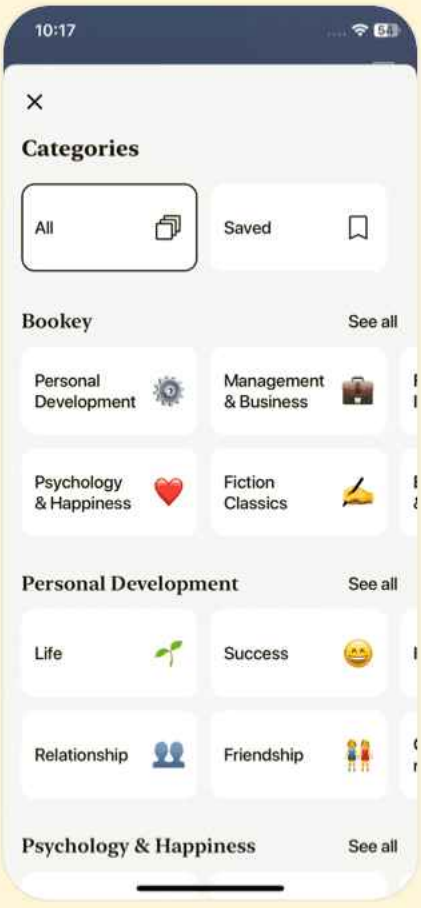
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Chapter 10 | Quotes From Pages 65-71

1. No system will do you any good if you don't manage risk.
2. Risk management is essential for your survival and success.
3. As traders, we sail on a stormy ocean. Risk management rules are our lifeboats and life preservers.
4. You owe it to yourself to earn an excellent rating in this section of the Study Guide—nothing less will do!
5. Professionals spend much of their time calculating how much money to risk on any given trade and how to vary trade size, depending on market conditions and account equity.

Chapter 11 | Quotes From Pages 72-76

1. In trading, you don't have the luxury of waiting for a couple of weeks for an answer. You need to decide now, today, what you'll do at the right edge of the chart: buy, sell, or stand aside.
2. Standing aside, by the way, is a legitimate choice.

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3.When buying in the vicinity of a rising moving average, a reasonable profit target would be the upper channel line.

Chapter 12 | Quotes From Pages 77-80

1.Good record-keeping helps you identify past mistakes and stop repeating them.

2.Good records make clear what steps brought you profits, so that you can repeat them going forward.

3.Good record-keeping ties together psychology, market analysis, and risk management.

4.To improve your performance, you must learn from your experiences, which is what good record-keeping allows you to do.

5.It is the most important skill for your growth as a trader.

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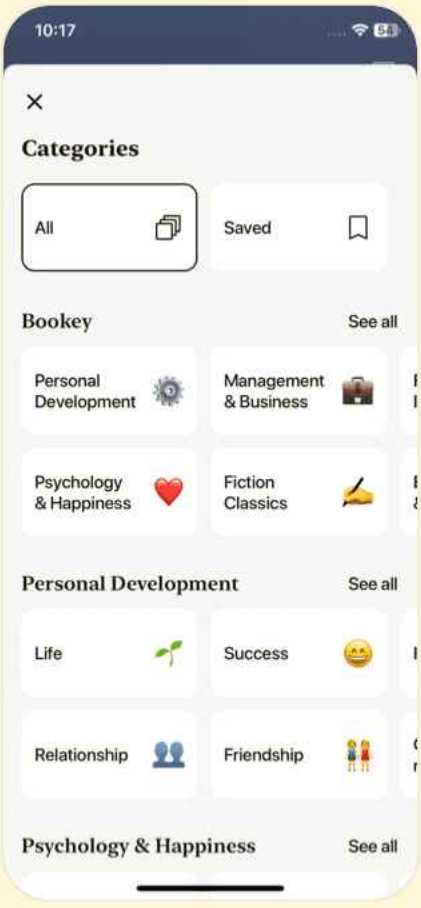
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Chapter 13 | Quotes From Pages 83-88

1. The three pillars of successful trading are sound psychology, a good analytic method, and careful money management.
2. The attitude of benign skepticism is the best.
3. Slippage and commissions slant the 'playing field' against most traders; emotional trading finishes them off.
4. Your slippage entering this trade was 8 cents for each of the 100 shares you bought, for a total of $8. It was almost as big as your commission.
5. The total bite came to $40, or 50% of your gross profit—and now Uncle Sam is licking his lips, waiting to tax you.

Chapter 14 | Quotes From Pages 89-99

1. DTrading is inherently risky because we deal with the uncertainty of the future. If there were no risk of loss, there could be no reward.
2. You must strive to achieve your personal best, to become the best trader you can.

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3.Treat your mistakes as learning opportunities: find the causes of your losses, and correct those mistakes going forward.

4.To win, you don't have to be more intelligent or knowledgeable than other traders, but you must be better disciplined.

5.Being calm and disciplined is the cornerstone of successful trading.

6.You may use technical indicators, fundamental analysis, or even pay attention to trusted advisors—but only you can decide when a trade begins and when it ends.

Chapter 15 | Quotes From Pages 100-109

1.Prices are connected to fundamental values in the long run, but are governed by crowd psychology from day to day.

2.When in doubt, stay out, is a sensible rule.

3.Trade defensively because other traders will try to pick your pockets before you can pick theirs.

4.Crowds are bigger and stronger than any of us; don't argue

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with the market.

5. A price shock is a sudden move against the trend. It frightens the dominant group and makes the opposition bolder.

6. Bearish divergences help identify uptrend tops. Bullish divergences help identify downtrend bottoms.

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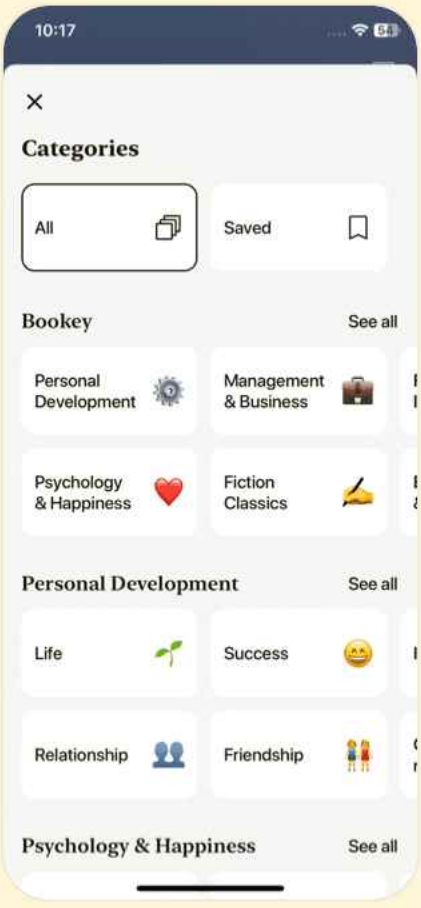
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Chapter 16 | Quotes From Pages 110-119

1. The trend is your friend.
2. Waiting for a new low before shorting helps ensure you're dealing with a downside breakout.
3. Support and resistance exist because traders have memories.
4. Charts tell an important story—and if you can't read it, you'll miss the market's message.
5. Make sure to protect your positions with stops and move them up as the trend progresses.

Chapter 17 | Quotes From Pages 120-133

1. A good technician aims to discover the balance of power between bulls and bears and bet on the winning group—not to forecast the future.
2. A computer doesn't remove emotions from trading because we still have to place our orders.
3. It pays to combine indicators from different groups so that their negative features cancel each other out while their positive features remain undisturbed.

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4.It pays to trade in the direction of the dominant market group.

5.Each price is a momentary consensus of value, while a moving average reflects the average consensus of value.

6.Bullish divergence gives a strong buy signal; it occurs when prices fall to a new low, but MACD-Histogram traces a shallower bottom.

7.Trying to catch a bottom is like trying to catch a falling knife—you invariably grab it in the wrong spot.

Chapter 18 | Quotes From Pages 134-145

1. Each trade reflects a financial and emotional commitment by two traders: a buyer and a seller. Since one of them is bound to be right and the other wrong, volume represents the activity of winners and losers.

2. Trends tend to persist when the volume is steady or rises in an orderly manner. They usually expire with either a bang or a whimper—a burst of volume or its drastic shrinkage.

3. Rising or steady volume confirms trends. When prices rise

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to a new high or fall to a new low while volume shrinks, it tells us that the price trend is likely to reverse or at least to pause.

4. When open interest rises, it shows that a crowd of confident bulls is facing down a crowd of equally confident bears. One group is sure to lose, but as long as potential losers keep pouring in, the trend is likely to continue.
5. The longer-term Force Index, smoothed with a 13-bar EMA, helps identify trend reversals: bullish when it crosses above the zero line and bearish when it crosses below that line.

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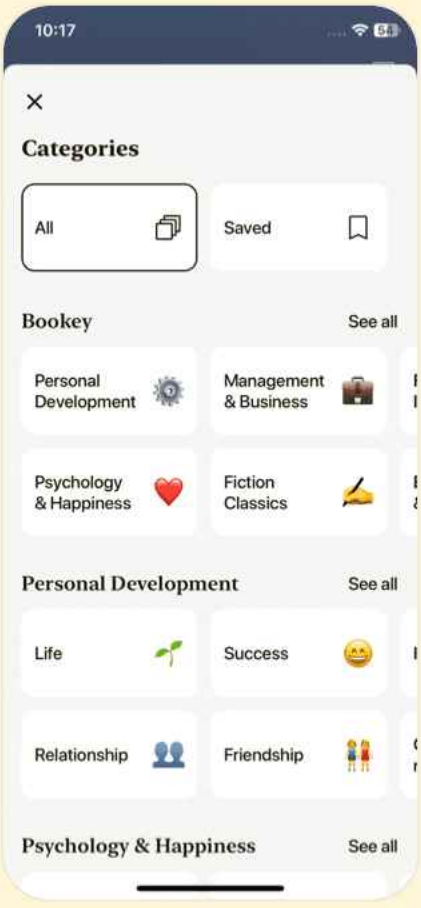
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Chapter 19 | Quotes From Pages 146-155

1. When everyone thinks alike, everyone is likely to be wrong.
2. Big money did not grow big by being stupid; it pays to bet on the wealthy minority.
3. At 11 months, the bear market is old. Nobody will ring a bell to advertise the start of a bull market.
4. Indicators of mass psychology provide unique insights into the forces that move markets.

Chapter 20 | Quotes From Pages 156-167

1. Trends may point in different directions at the same time in different timeframes: for example, up on the daily chart but down on the weekly, or vice versa.
2. Keeping good records is essential for testing a system. Start at the beginning of your data file and move forward one day at a time, recording each signal and planned actions.
3. A trade without these numbers is not a trade, but a gamble.
4. When the weekly trend is up but the daily trend is down,

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use those declines to catch buying opportunities.

5. The slope of a channel provides important information. When it rises, it shows that the market is bullish. When it falls, the market is bearish.

Chapter 21 | Quotes From Pages 168-176

1. Popularity isn't a key factor: some of the best opportunities occur in the markets that aren't popular, but are fine to trade as long as they have good liquidity and volatility.
2. Warren Buffett says that when you buy a stock, you become a partner of a manic-depressive fellow he calls Mr. Market.
3. The riskiest factor in futures is that people can trade them on very small margins, as low as 5% of contract value.
4. Whatever you trade, you need to understand the key factors about that market.

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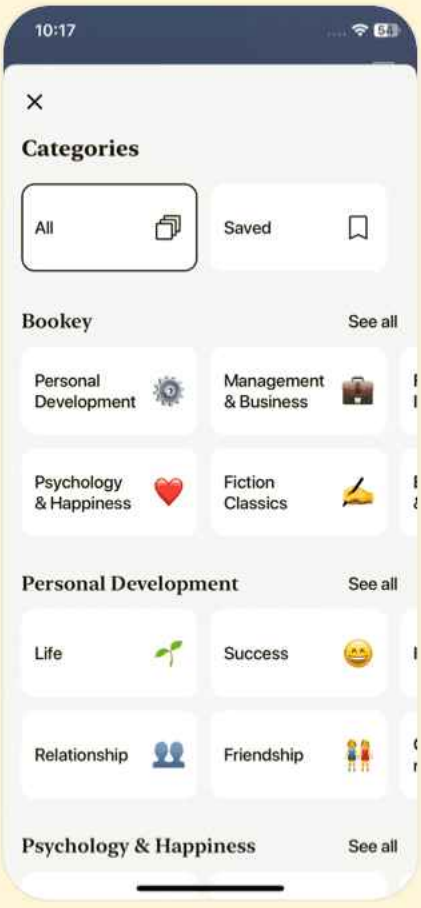
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Chapter 22 | Quotes From Pages 177-186

1. Emotional trading is the enemy of success. Nobody can get high and consistently make money.
2. Taking a loss means giving up hope that a trade will work out—and nobody likes to live without hope.
3. A reluctance to take a loss is a sign of emotional trading.
4. The first goal of money management is to ensure survival. The second is to earn a steady rate of return, and the third is to earn high returns—but survival comes first.
5. It's dangerous to count money in open trades because it leads to thinking about what your paper profits will buy.
6. Serious traders place a stop the moment they enter a trade and adjust it only one way—in the direction of that trade.
7. The 2% Rule dictates your maximum dollar risk per trade.
8. The two deadly errors in trading are not using stops and putting on trades that risk more than your account can afford.
9. A series of even relatively small losses can add up to a serious drawdown.

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10.Losses traumatize traders. Returning to the market after a break, you need to be gentle to yourself.

Chapter 23 | Quotes From Pages 187-193

1. It is generally not a good idea to go long above the channel. The upper channel line marks the zone where bullishness becomes manic, and even though it may continue, it is more likely to reverse.
2. When the trend is up, it makes sense to buy pullbacks below value. There is no point in being greedy and trying to nail the very bottom of a pullback—catching a $1 penetration would be more reliable than a $3 one.
3. Setting stops and profit targets allows us to calculate reward/risk ratios. Stops provide generally reliable means of protecting your account, but unfortunately, they don't guarantee limiting your maximum risk because prices can gap across stop levels.
4. Stay away from the crowd; a highly visible price extreme attracts too many stops. A stop is a risk management tool, and as a trade moves in your favor, you can relocate your

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stop to protect a share of your profit.

5. A good scan can find a group of candidates on which to focus your attention, but it doesn't guarantee profitable trades. Begin by defining the pattern to look for, and then cast your scanning net as wide or as narrow as you like.

Chapter 24 | Quotes From Pages 194-199

1. Keeping good records will help you learn from your experiences, improve discipline, and reduce impulsivity.
2. Don't increase trade size when everything is perfect because, on such days, any change can only be for the worse.
3. When you step on a rake lying in the grass, it stands up and hits you on the forehead. It can happen to anyone, but don't step on it again.
4. By then, trends and reversals are clear; you can see exactly what you did right or wrong—and use those lessons going forward.

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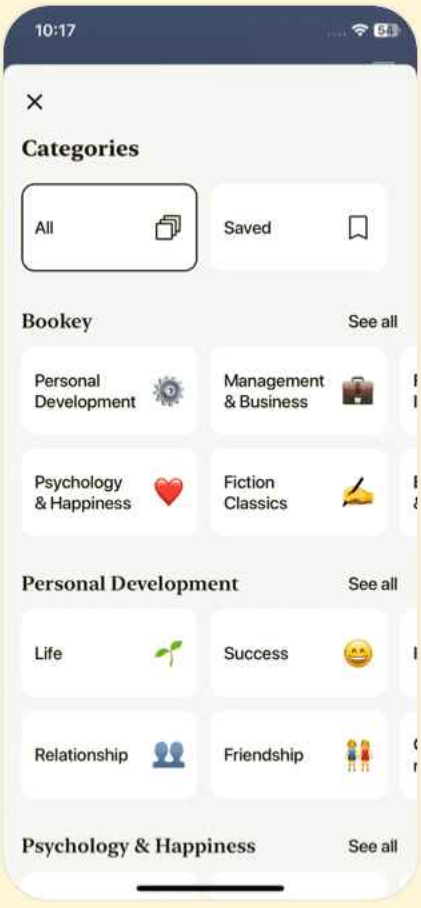
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The New Trading for a Living Questions

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Chapter 1 | Introduction| Q&A

1.Question

What mindset is essential to succeed in trading?

Answer:A successful trader must think and act differently from the majority. This often requires a unique approach to decision-making and a willingness to embrace unconventional strategies.

2.Question

How crucial is it to use technical analysis in trading?

Answer:Technical analysis is a key method for making long-term trading decisions, as it helps traders to identify market trends and potential entry or exit points.

3.Question

What role does trading psychology play in achieving success?

Answer:Trading psychology is critical; overcoming emotional responses can often determine the success or

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failure of a trade. A trader must maintain discipline and a rational mindset.

4.Question

What should traders do when reading trading books?

Answer:The best approach is to test all ideas on your own market data, rather than simply trusting the content of the book. Critical evaluation and personal experimentation lead to greater understanding.

5.Question

What are common causes of trading losses to be aware of?

Answer:Emotional trading is a major cause of losses, while factors like slippage and commissions are part of the trading costs rather than direct causes of failure.

6.Question

What does the outcome of two traders in a trade illustrate about trading?

Answer:The example of Trader Jim and Trader John highlights that trading is a zero-sum game; for one trader to profit, another must incur losses.

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7.Question

How should traders perceive small commission charges relative to larger trades?

Answer:Traders should not quibble about small commissions when dealing with larger amounts; a broader view on the overall profitability is essential.

8.Question

What can traders do to protect profits once in a favorable position?

Answer:Raising stop-loss orders to secure profits is a strategy traders often use to manage risk while allowing for potential gains.

9.Question

What does slippage indicate in a trading scenario?

Answer:Slippage is a crucial metric that reflects the difference between the expected price of a trade and the actual price; it can significantly impact profitability.

10.Question

What can be concluded about the trading industry's cost on trader profits?

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Answer:The trading industry costs can take a notable percentage of gains; understanding and managing these costs is vital for successful trading.

Chapter 2 | ONE: Individual Psychology| Q&A

1.Question

What is the greatest danger in trading according to the author?

Answer:The greatest danger in trading comes from the individual trader themselves. Emotions such as greed and fear can dictate trading actions, often leading to poor decision-making.

2.Question

How should a professional trader react to different market movements?

Answer:A professional trader maintains a calm and collected demeanor, knowing in advance how they will react to market fluctuations, whether the market goes up, down, or sideways. On uncertain days, they choose to stay out and observe.

3.Question

What should a trader do when facing a losing streak?

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Answer:A trader on a losing streak should analyze their trades to understand the causes of their losses, subscribe to reliable resources, or stop trading until they can reassess their strategies, rather than blindly continuing to trade.

4.Question

Why is having a large trading account considered advantageous?

Answer:Having a large trading account allows for greater diversification across markets, the ability to trade different systems, and that expenses represent a smaller percentage of the account.

5.Question

What do successful traders believe about risk?

Answer:Successful traders measure each risk carefully, understanding that while they must take risks to succeed, they do not thrive on excessive risks that could lead to substantial losses.

6.Question

What key trait differentiates gambling from successful trading?

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Answer:A key sign of a gambling attitude is the inability to resist the urge to trade, leading emotional decisions. Successful trading involves a disciplined and rational approach.

7.Question

How do feelings impact trading performance?

Answer:Traders' feelings significantly influence their equity; emotions like fear and greed can have greater effects on trading outcomes than a sophisticated trading strategy.

8.Question

What is the commonality between losing traders and alcoholics?

Answer:Both losing traders and alcoholics may hide their problems from themselves and others, attempting to recover from losses in a similar addictive manner.

9.Question

What is the first step a losing trader should take towards recovery?

Answer:The first step for a losing trader is to acknowledge their situation openly, such as admitting 'I am a loser,' which

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is crucial for moving towards recovery.

10.Question

What is the most important factor in becoming a successful trader?

Answer:The most important factor in becoming a successful trader is avoiding emotional decisions and using written trading plans, combined with learning from previous trades.

11.Question

What does it indicate if after a year in trading the markets still seem mysterious?

Answer:If the markets seem mysterious after a year of trading, it indicates impulsive trading behavior, a lack of proper knowledge, or a trading account that is too small.

12.Question

What initiates a trade according to the chapter?

Answer:A trade typically begins when the market appears overbought or oversold, an indicator signals an entry point, or a trader decides to place an order based on analysis.

Chapter 3 | TWO: Mass Psychology| Q&A

1.Question

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How does mass psychology influence trading decisions?

Answer:Mass psychology significantly influences trading decisions as traders are subconsciously swayed by the collective emotions of the crowd, driven by greed and fear. When the market is bullish, optimism among traders can lead to increasing prices, while in bearish markets, panic and fear can cause prices to drop. Understanding this dynamic helps traders align their strategies with prevailing market sentiments, but it's crucial to recognize when to exit what's become an irrational trend.

2.Question

What are the implications of crowd behavior on a trader's mindset?

Answer:Crowd behavior can lead traders to become more emotional and impulsive. Joining a crowd often means giving up individual judgment, as traders might trust the decisions of the crowd or its leaders more than their own.

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This can cloud rational analysis, making it difficult to remain objective. It's important for traders to be aware of their emotional state and potential biases that arise from being part of a larger group.

3.Question

What should traders do when uncertain about their decisions?

Answer:When unsure whether to buy or sell, traders should consider trading a smaller size, conducting thorough research on market sentiments, or even sitting out of trades entirely until clarity is gained. Listening to market gurus might seem tempting, but relying solely on external advice can be risky.

4.Question

Why is it important to understand the concept of supply and demand?

Answer:Understanding supply and demand is crucial as it directly reflects the consensus value of a trading vehicle. Prices are determined at the intersection of supply and demand curves, and recognizing this can help traders gauge

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market conditions and make better-informed trading decisions.

5.Question

What role does emotional control play in successful trading?

Answer:Emotional control is vital in trading because markets can trigger strong feelings like elation during wins or despair during losses. A successful trader must learn to manage these emotions to avoid making hasty decisions that deviate from their trading plan. Staying objective and focused on strategy rather than emotions is essential for long-term success.

6.Question

How can traders identify when a trend is about to end?

Answer:Traders can gauge potential trend reversals through careful observation of market dynamics, such as price shocks, divergence in indicators, or the behavior of buyer and seller volumes. Recognizing signs of exhaustion in a trend can provide critical insights on when to exit a position.

7.Question

What are the risks of trading against the crowd?

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Answer:Trading against the crowd is risky because crowds tend to have significant market influence. While there may be opportunities in going against prevailing sentiment, it requires a strong analytical basis and often withstands considerable pressure. Being part of the crowd often leads to better short-term outcomes, while contrarian positions require more conviction and risk tolerance.

8.Question

How do powerful financial interests influence market trends?

Answer:Powerful financial interests, such as large institutional investors or influential market gurus, can significantly sway market trends as they often have better access to information and resources. Their trading activities can create waves that smaller traders might find hard to resist, making it essential for traders to track the movements of such players to anticipate potential market shifts.

9.Question

What strategies can traders use to align with crowd psychology?

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Answer:To align with crowd psychology, traders should focus on identifying prevailing market trends, observing the sentiment of the majority, and timing their entries and exits accordingly. Staying informed about market news and developments, as well as employing technical analysis to monitor price movements and volume, can help traders ride the waves of mass psychology effectively.

10.Question

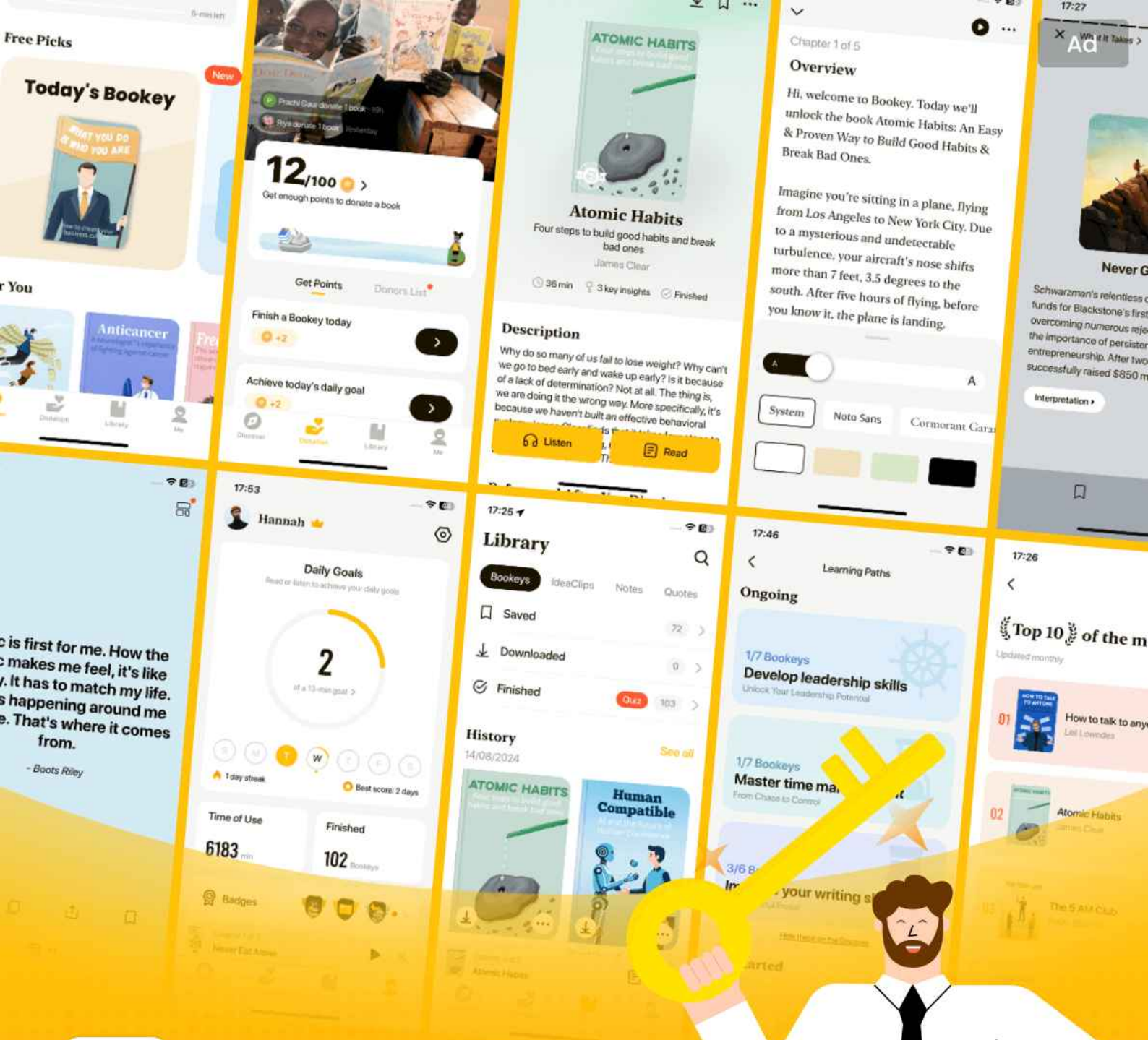
Why is it important for traders to maintain a balance between confidence and caution?

Answer:Maintaining a balance between confidence and caution is essential because overconfidence can lead to reckless decisions, while excessive caution might result in missed opportunities. Successful trading involves making informed choices while being adaptable to changing market conditions, ensuring that traders can act decisively but also wisely.

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Chapter 4 | THREE: Classical Chart Analysis| Q&A

1.Question

What is the revolutionary idea introduced by classical chartists in trading?

Answer:Classical chartists introduced the idea of using price and volume data instead of fundamental factors to make buying and selling decisions. This approach allows for a universal application across various markets.

2.Question

How can technical analysis be applied across different markets?

Answer:Once you grasp the principles of charting, you can apply them to any market, including stocks, bonds, currencies, and futures. The analysis is based on data about high, low, opening, and closing prices.

3.Question

What are the challenges of making trading decisions near the right edge of a chart?

Answer:Making trading decisions at the right edge of a chart

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is difficult due to the uncertainty, noise, and tension present in the market at this point. Recognizing patterns is easier in the middle of a chart than in this complex environment.

4.Question

Why might three analysts looking at the same chart disagree on the trend?

Answer:They may disagree due to wishful thinking or different interpretations of what constitutes a trend, including the timeframes they are considering.

5.Question

What should you consider when entering a liquid market on a quiet day?

Answer:You are more likely to encounter higher slippage, which can affect trade execution negatively, thereby increasing the costs associated with that trade.

6.Question

What is the significance of support and resistance lines in technical analysis?

Answer:Support and resistance lines indicate price levels where the market has shown significant buying (support) or

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selling (resistance) activity. They help traders make informed decisions about when to enter or exit trades.

7.Question

What determines the strength of support and resistance levels?

Answer:The strength of support and resistance levels is determined by the number of times the price hits that area, along with the volume of trading that occurs at those levels.

8.Question

If prices drop below a support level after a congestion area, what trading choice is advisable?

Answer:It is advisable to sell short if prices fall to a new low, using a stop order set above yesterday's high to manage risk.

9.Question

In an uptrend, what are effective tactics for traders?

Answer:Effective tactics include buying breakouts to new highs, buying pullbacks into established support, and ensuring that profits on previous positions are protected by stop orders.

10.Question

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What does the term 'kangaroo tails' refer to in trading?
Answer:Kangaroo tails are single bars that protrude from compact congestion areas, signaling potential reversals or continuations in price action. A tail pointing down may indicate a sell signal.

11.Question

What should a trader avoid when entering the market near a kangaroo tail?
Answer:A trader should avoid placing a protective order midway down the tail, as this may not effectively manage risk in light of the potential for price fluctuation.

Chapter 5 | FOUR: Computerized Technical Analysis| Q&A

1.Question

What role does computerized technical analysis play in trading today?
Answer:Computerized technical analysis serves as an objective tool to process vast amounts of market information, leveling the playing field between individual traders and institutions. However, it is

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crucial to remember that technology alone does not guarantee success. Understanding and mastering the tools is essential for effective trading.

2.Question

How does computerized analysis help remove emotions from trading?

Answer:By relying on objective data and pre-set indicators, computerized analysis minimizes emotional decision-making, allowing traders to follow their strategies consistently rather than being swayed by fear or greed.

3.Question

What is the difference between gray box, black box, and toolbox trading software?

Answer:Gray box software allows traders to customize settings for indicators while still receiving specific buy and sell signals based on market data. Black box systems provide predetermined signals without input from the trader, and toolbox software offers a collection of various charting tools and indicators for traders to analyze data on their own.

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4.Question

Why might exponential moving averages (EMAs) be preferable to simple moving averages (SMAs)?

Answer:EMAs are generally considered better because they react more swiftly to price changes, providing traders with timely signals. They do not overreact to old data and more closely track the market's psychological trends.

5.Question

What is the significance of the slope of an exponential moving average?

Answer:The slope of an EMA indicates the direction of the trend; a rising slope signals bullish trends while a falling slope indicates bearish trends. This information is vital for making trading decisions.

6.Question

How do oscillators assist traders in the market?

Answer:Oscillators help traders detect extremes in market sentiment, differentiate between bullish and bearish trends, and identify potential reversal points. They are valuable for timing trades and spotting overbought or oversold conditions.

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7.Question

What should traders do if an oscillator shows it is overbought?

Answer:If an oscillator indicates overbought conditions, traders might consider entering short positions or preparing to realize gains on long positions, as this suggests a potential price decline.

8.Question

How can Stochastic and RSI provide different insights about market conditions?

Answer:Stochastic indicators can highlight overbought and oversold conditions, while RSI offers insight into momentum and possible trend reversals. Both can guide decision-making when their readings align with other analysis techniques.

9.Question

What actions should a trader take when the Directional Movement Index (ADX) trends downward?

Answer:Traders might consider taking partial profits when the ADX turns downward from above both Directional Lines, indicating a potential weakening of the trend.

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10.Question

What does a bullish divergence signal in trading?

Answer:A bullish divergence occurs when the price makes new lows while an oscillator such as RSI or Stochastic makes higher lows, suggesting underlying strength and the potential for a price reversal to an upward trend.

Chapter 6 | FIVE: Volume and Time| Q&A

1.Question

Why is it important to consider volume when analyzing price changes in the market?

Answer:Considering volume provides insights into the strength or weakness of price movements. For instance, if prices rise but volume is low, it may indicate a lack of conviction among traders, suggesting that the uptrend could reverse. In contrast, a price increase accompanied by high volume signals that many participants are buying into the trend, affirming its strength.

2.Question

What can volume trends tell us about market sentiment?

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Answer:Volume trends reveal the emotional involvement of market participants. For example, rising prices on high volume suggest confidence among buyers, while falling prices on high volume could indicate panic selling among traders. Understanding these signals can help traders make informed decisions about their positions.

3.Question

How do timeframes influence trading decisions?

Answer:Analyzing multiple timeframes allows traders to understand both short-term price movements and long-term trends. For example, a trader might look at daily charts to identify entry points while referencing weekly charts to understand the overall trend. This layered approach helps in making more nuanced trading decisions.

4.Question

What does open interest indicate in the derivatives markets?

Answer:Open interest reflects the total number of outstanding contracts in the market. A rising open interest

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signifies that new money is coming into the market, suggesting that the current trend may continue. Conversely, declining open interest may indicate that positions are being closed and can signal a trend reversal.

5.Question

Why do traders smooth the Force Index with a moving average?

Answer:Smoothing the Force Index helps reduce noise and volatility, making it easier to identify true market trends. For instance, using a 2-day or a 13-day EMA allows traders to pinpoint significant shifts in market dynamics, helping them make more calculated decisions about entering or exiting trades.

6.Question

What factors should traders consider when evaluating the force of price movements?

Answer:Traders should look at the amount of price change, the volume of trading during that movement, the direction of the move, and related market behaviors. A combination of

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these factors offers a more comprehensive view of the market's strength and can indicate whether a price trend is likely to continue.

7.Question

How can recognizing 'indicator seasons' enhance a trader's strategy?

Answer:Recognizing 'indicator seasons' allows traders to adapt their strategies according to market conditions, akin to seasonal changes in nature. For example, knowing that spring signifies a favorable period for long positions can help traders align their tactics with prevailing market trends.

8.Question

What role do cycles play in understanding market behavior?

Answer:Cycles represent the recurring patterns of emotion, sentiment, and economic conditions in the market. By recognizing these cycles, traders can better predict potential turning points and adjust their trading strategies accordingly, capitalizing on the shifts between fear and greed.

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9.Question

How can traders effectively monitor multiple timeframes?

Answer:Traders can use tools such as moving averages across different timeframes or set alerts based on price levels in various charts. This enables them to stay updated on market changes and allows for timely adjustments to positions based on both short-term fluctuations and long-term trends.

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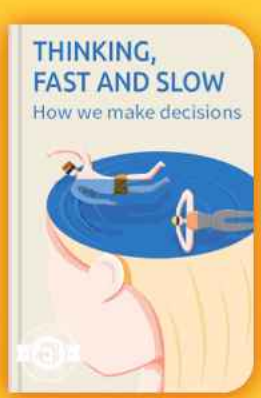
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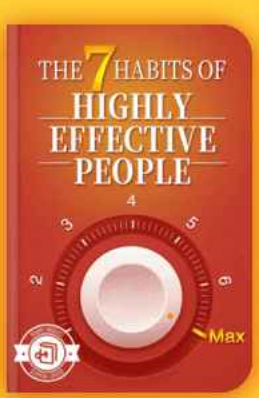
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Chapter 7 | SIX: General Market Indicators| Q&A

1.Question

What role does mass psychology play in trading?

Answer:Mass psychology influences intermediate- and short-term market trends, creating waves of optimism and pessimism among traders. This collective behavior often leads to price fluctuations that can become extreme, thereby guiding traders' decisions.

2.Question

Why are general market indicators important for traders?

Answer:General market indicators provide insights into the overall trend and sentiment of the market, which is crucial for making informed trading decisions, particularly in stock index futures and options.

3.Question

How can bullish and bearish divergences impact trading strategies?

Answer:Bullish divergence indicates that bearish pressure is

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waning; therefore, traders should consider taking profits on shorts and preparing to go long. Conversely, bearish divergence suggests that bullish momentum is faltering; traders might take profits on longs and look for short opportunities.

4.Question

What does it signify when bullish consensus rises to record highs?

Answer:When bullish consensus reaches record highs, it often signals a nearing market top, prompting traders to start selling and seek potential short opportunities.

5.Question

How should a trader respond to mixed trading signals?

Answer:When faced with mixed trading signals, it is wise to stand aside and avoid making trades until clearer signals emerge.

6.Question

What does a decline in the Advance/Decline line indicate?

Answer:A decline in the Advance/Decline line suggests weakness in the market, signaling that more stocks are falling

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than rising, which may influence traders to reconsider their long positions.

7.Question

In what situation might a trader consider going long despite a prevailing bear market?

Answer:If there is insider buying despite a bear market presence, it might indicate that the stock could rebound, leading traders to consider building a long position.

8.Question

Why is understanding position limits and reporting requirements crucial for traders?

Answer:Understanding position limits and reporting requirements is essential for compliance with regulations. It helps traders manage risks associated with large positions and avoid penalties.

9.Question

How should an average trader react to external news about price peaks in commodities?

Answer:An average trader should analyze the fundamental aspects behind the news rather than react impulsively. If the

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market sentiment is overly optimistic, they might consider going short instead of long.

10.Question

What does it mean when bullish consensus drops significantly?

Answer:A significant drop in bullish consensus often indicates a shift in market sentiment towards bearishness, which may prompt traders to reassess their positions and perhaps prepare for a short market strategy.

Chapter 8 | SEVEN: Trading Systems| Q&A

1.Question

What is a trading system, and why is it important for a trader?

Answer:A trading system is a structured decision-making tool that helps traders determine when to enter and exit trades by outlining specific criteria for entries, targets, and stops. It's crucial because it provides stability and discipline amid the emotional and often chaotic environment of the

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markets, allowing traders to make informed decisions rather than impulsive ones.

2.Question

How should a trader approach the development of a trading system?

Answer:A trader should develop a trading system in a calm and focused environment, away from market noise. This involves backtesting the system on historical data, ensuring it aligns with their trading style and risk tolerance before implementing it in real-market conditions.

3.Question

Can conflicting market signals exist simultaneously, and how should a trader manage them?

Answer:Yes, conflicting signals such as an uptrend and a downtrend or simultaneous buy and sell signals can occur. A trader should analyze broader trends and use a systematic approach to filter which signals take precedence and guide their trading decisions.

4.Question

What is the significance of focusing on multiple time

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frames when analyzing trades?

Answer:Focusing on multiple time frames, like daily and weekly charts, helps a trader identify the overall market trend and confirms trading opportunities. For instance, if the long-term trend is up on a weekly chart, traders might look for buy opportunities on the daily chart that conform to that trend.

5.Question

Why is backtesting important in developing a trading system?

Answer:Backtesting is essential because it allows traders to evaluate how a system would have performed historically, giving them insights into its potential effectiveness and areas for improvement before risking real capital.

6.Question

What role does emotional discipline play in trading, and how can a trading system help with this?

Answer:Emotional discipline is critical in trading as it helps traders stick to their systems and avoid impulsive decisions

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based on fear or greed. A well-defined trading system acts as a guideline that traders can follow, reducing the influence of emotions by providing a clear plan.

7.Question

How do the Triple Screen and Impulse trading systems function to guide traders?

Answer:The Triple Screen trading system evaluates different time frames to confirm trends before making a trade, while the Impulse system focuses on determining the current market direction and signaling potential entries. Both aim to create structured entry and exit points based on analytical criteria.

8.Question

What is the importance of maintaining records of trades when using a trading system?

Answer:Maintaining records of trades is vital as it allows traders to analyze their performance, refine their systems, and learn from past mistakes. This practice fosters continuous improvement and accountability.

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9.Question

What should traders consider when evaluating the success of their trading systems?

Answer:Traders should assess their systems based on a comprehensive set of metrics, including win/loss ratios, average profit per trade, downtime in trades, and overall consistency in performance over different market conditions.

10.Question

How can a trader adapt their strategies in response to market conditions?

Answer:Traders should remain flexible and assess market trends regularly. If conditions change significantly, they may need to adapt their strategies by recalibrating their systems, modifying risk management techniques, or even changing their market approach altogether.

Chapter 9 | EIGHT: Trading Vehicles| Q&A

1.Question

What is the fundamental mindset one should have when approaching trading instruments?

Answer:The fundamental mindset should be to view

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trading instruments not as the main focus, but as vehicles for your money to navigate the market. It's essential to prioritize system design and risk management over the specific types of instruments.

2.Question

Why is it important to understand the variety of trading vehicles available?

Answer:Understanding the variety of trading vehicles allows traders to select the right instrument that fits their trading strategy, risk appetite, and market conditions. This knowledge also enables diversification in trading, potentially leading to better risk management and opportunities for profit.

3.Question

What are the key considerations when selecting a trading instrument?

Answer:Key considerations include liquidity, volatility, and time zones, while popularity is not a determining factor for a successful trade. Traders should prioritize instruments that

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allow for efficient entry and exit from trades.

4.Question

What does Warren Buffett suggest about dealing with market emotions?

Answer:Warren Buffett suggests buying when the market is depressed and selling when the market is happy. This approach implies that one should act contrary to market emotions to capitalize on undervalued opportunities.

5.Question

How can the features of ETFs benefit traders?

Answer:ETFs offer the ability to trade a collection of assets like a single stock, providing diversification and the potential for lower administrative expenses compared to direct investment in individual securities.

6.Question

What distinguishes buying options from buying futures?

Answer:The greatest distinction is that option buyers can only lose the initial premium paid, whereas futures buyers face potentially unlimited losses. This characteristic makes options a safer choice for risk-averse traders.

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7.Question

What is the main risk associated with futures trading?

Answer:The main risk is the short life of their contracts compared to stocks, which can lead to quicker losses or require more active management.

8.Question

What does the comment about trading goats illustrate?

Answer:The comment illustrates that trading skills can transcend markets; even those familiar with different commodities may possess trading acumen. It emphasizes that effective trading principles can apply universally, regardless of the instrument.

9.Question

How can traders ensure safety when writing options?

Answer:Traders should avoid aiming to write options outside the anticipated price levels and instead place stops to manage positions if they move against them, maintaining discipline in risk management.

10.Question

What is a crucial aspect of approaching trading

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instruments as suggested in the chapter?

Answer:A crucial aspect is to continuously educate oneself about the different types of trading instruments available and to not limit oneself to a single type. This holistic understanding enhances adaptability and opportunities in the market.

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Chapter 10 | NINE: Risk Management| Q&A

1.Question

Why is risk management essential for traders?

Answer:Risk management is essential because it protects traders from significant losses during drawdown periods. These periods are times when a system may not perform well, and without proper risk management techniques, traders can quickly deplete their capital, leading to failure in their trading career. It's not enough to have a good trading system; traders must also enforce risk rules to ensure long-term survival and success in the markets.

2.Question

What should a trader do when feeling emotional after a trade?

Answer:A trader should recognize that emotional reactions can cloud judgment and negatively impact decision-making. Instead of acting on these emotions, such as doubling their

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position size when feeling overjoyed, traders should adhere to their planned risk management rules. Emotional discipline is critical in avoiding impulsive decisions.

3.Question

What are the common reasons traders hold onto losing trades?

Answer:Traders often hold onto losing trades due to emotional attachment to their positions, their reluctance to admit they were wrong about the market direction, and the fear of giving up hope. This mindset can lead to larger losses and goes against sound trading practices, highlighting the need for strict adherence to risk management.

4.Question

What steps should be taken if a trade shows a paper loss?

Answer:If the trade shows a paper loss but adheres to risk management rules, the trader should evaluate the circumstances carefully. They need to decide whether to continue with the trade by maintaining their stop, retreat to the sidelines to take a loss, or adjust their strategy by

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lowering their stop loss, ensuring that their actions align with risk management principles.

5.Question

What is the '2% Rule' in trading?

Answer:The '2% Rule' dictates that traders should not risk more than 2% of their total trading capital on a single trade. This rule helps to limit potential losses and is a key component of effective money management, ensuring that traders can withstand losing streaks without jeopardizing their entire account.

6.Question

What is the importance of moving stop-loss orders?

Answer:Moving stop-loss orders can protect traders from experiencing larger losses as their positions become profitable. While traders can move stops higher when long and should not lower them, consistency in following these rules forms a crucial part of risk management that helps to lock in profits and minimize risk.

7.Question

How does a trader determine how many shares to buy

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based on risk?

Answer:To determine how many shares to buy, a trader should calculate their total dollar risk per share and relate it to their overall account equity, factoring in rules like the 2% or 6% Rule, ensuring they stay within their risk parameters to avoid significant losses.

8.Question

What are two deadly trading mistakes to avoid?

Answer:Two of the most deadly mistakes for traders include trading without stop-losses, which exposes them to unlimited risk, and trading on rumors or hearsay, which undermines sound decision-making and often leads to substantial losses.

9.Question

How can a trader come back after a severe drawdown?

Answer:A trader should come back by starting to trade in very small sizes, gradually increasing their position size as they meet performance goals. They should focus heavily on risk management and potentially adjust their risk rules temporarily to protect their capital as they rebuild confidence

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and consistency.

10.Question

What should traders do with their money management goals?

Answer:Traders must prioritize their money management goals by ensuring survival first, earning a steady rate of return next, and then focusing on maximizing profits. This order of importance helps to create a foundation for long-term sustainable trading success.

Chapter 11 | TEN: Practical Details| Q&A

1.Question

What key decision must a trader make at the right edge of a chart according to the text?

Answer:A trader must decide whether to buy, sell, or stand aside.

2.Question

Why is standing aside considered a legitimate choice in trading?

Answer:Standing aside is a legitimate choice when the market conditions do not present a clear opportunity for

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profit.

3.Question

What methods do traders use to make placements in trades?

Answer:Traders use various methods to determine entry points, set targets, and place stops.

4.Question

How should profit targets be set for long-term trades?

Answer:Profit targets should be based on moving averages, channels, divergences, and support and resistance levels.

5.Question

What is one incorrect statement about stops from the options provided?

Answer:They lead to whipsaws.

6.Question

What is an effective method for placing stops to avoid market noise?

Answer:Using stops based on support or resistance is effective for avoiding market noise.

7.Question

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What are some general rules concerning the placement of stops?

Answer:Stops should not be placed at obvious levels, round numbers, and should be moved to protect winning trades from turning into losses.

8.Question

What proportion does a buy grade of 50% indicate based on the buy price relative to the daily bar's high and low?

Answer:A buy grade of 50% indicates that the purchase was made at the halfway point between the daily bar's high and low.

9.Question

What is the significance of having a well-designed scan in stock trading?

Answer:A well-designed scan helps find profitable trades by identifying stocks that fit specific patterns defined by the trader.

10.Question

What criteria may be filtered out in scanning stocks as outlined in the chapter?

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Answer:Negative rules for scanning may filter stocks based on being unprofitable, trending down, or having insufficient volume.

Chapter 12 | ELEVEN: Good Record-Keeping| Q&A

1.Question

How does good record-keeping contribute to a trader's discipline and performance?

Answer:Good record-keeping helps a trader identify past mistakes, allowing them to learn from their experiences and avoid repeating errors. It clarifies which trading steps led to profits, enabling traders to replicate successful strategies. This practice ties together essential aspects of trading like psychology, market analysis, and risk management, developing a disciplined approach to trading.

2.Question

Why is performing routine morning homework crucial for traders?

Answer:Routine morning homework allows traders to review

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important news and reports that impact the day's trading. It helps them assess their performance from the previous day, providing insights that can refine their strategies and adjust their stops effectively. This preparatory work ensures they are mentally and strategically prepared for the trading day ahead.

3.Question

What is the significance of taking a daily psychological self-test before trading?

Answer:The main purpose of a daily psychological self-test is to evaluate a trader's readiness to trade and their emotional mood. This self-assessment helps identify when a trader might not be in the right mindset for trading, preventing impulsive decisions on those days.

4.Question

What essential components must a trade plan include?

Answer:A comprehensive trade plan should outline the strategy to be used, specific entry, exit, and stop-loss points, and the amount of money at risk. It does not necessarily need

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to specify the anticipated profits.

5.Question

What is the importance of the Trade Apgar in preparing for trades?

Answer:Using a Trade Apgar allows traders to thoroughly evaluate their trade plan by answering a series of pertinent questions. This practice promotes better preparation and enhances the likelihood of successful trading, as it encourages comprehensive analysis of every aspect of the trade.

6.Question

How does completing a Tradebill focus a trader's attention?

Answer:Completing a Tradebill before entering a trade focuses a trader on critical aspects such as entry, exit, stop-loss strategy, and the amount of risk and position size involved. This comprehensive focus aids in defining the trade's parameters clearly.

7.Question

What should a Tradebill document after entering a trade?

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Answer:After entering a trade, a Tradebill should document important elements like stop placement (both soft and hard stops), the level to move the stop to breakeven, confirmation of the entry in the trade diary, and the amount of targeted profit.

8.Question

Why is it important to review closed trades, and what should be the mindset during this process?

Answer:Reviewing closed trades is crucial for learning and growth. While it is important to not dwell too much on the past, acknowledging and understanding past mistakes helps traders refine their strategies and avoid repeating errors in the future.

9.Question

What is the most educational aspect of maintaining a Trade Journal?

Answer:The most educational part of a Trade Journal is documenting not just the trades themselves but also the strategies used, entry and exit points, and reflecting on the

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outcomes. This comprehensive record provides valuable insights that can inform future trading decisions.

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Chapter 13 | Introduction| Q&A

1.Question

What are the three pillars of successful trading according to Elder?

Answer:Sound psychology, a good analytic method, and careful money management.

2.Question

Why should you be skeptical of trading tips?

Answer:Tips are often late and the person giving the tip usually doesn't provide an exit point. Use them only if they fit within your own decision-making system.

3.Question

What is a 'minus-sum game' in trading?

Answer:It's when the winner receives less than the loser lost. Commissions and slippage often make trading an example of this.

4.Question

How can traders minimize their expenses?

Answer:By being selective about trades, negotiating lower commission rates with brokers, and using limit orders instead

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of market orders whenever possible.

5.Question

What is the recommended approach when starting to trade?

Answer:Start with a small position size and increase as you gain confidence.

6.Question

Why is emotional trading detrimental?

Answer:Emotional trading can lead to poor decision making and significant losses, often more harmful than market theft.

7.Question

How can slippage impact your trading profits?

Answer:Slippage can significantly reduce your profits; for example, a small amount of slippage can amount to a large percentage of your gross profit.

8.Question

What kind of orders should traders use to minimize losses?

Answer:Use 'market if touched' orders for exits to react quickly as needed.

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9.Question

What lesson can be learned about commissions and slippage?

Answer:Commissions and slippage can severely cut into profits, highlighting the importance of understanding these costs in trading strategies.

10.Question

What mindset is advised for learning trading strategies?

Answer:Adopt a mindset of benign skepticism, testing ideas in your own experience before fully committing.

Chapter 14 | ONE: Individual Psychology| Q&A

1.Question

Why is trading considered inherently risky?

Answer:Trading involves dealing with uncertainty about the future. Without the risk of loss, there would be no potential reward, which is why it is essential for traders to measure risks in advance and only trade when the odds are favorable.

2.Question

What should be the primary focus of a trader?

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Answer:A trader should strive for personal excellence rather than focusing on money or material possessions. The goal should be to achieve their personal best, just as a surgeon focuses on the operation rather than counting money.

3.Question

How should traders treat their mistakes?

Answer:Traders should view mistakes as learning opportunities by identifying the causes of their losses and correcting those errors moving forward. This requires self-analysis to understand what led to poor outcomes.

4.Question

What advantages does a large trading account offer?

Answer:A larger account allows for better diversification and the ability to trade multiple positions without being overly reliant on any single trade, reducing risks associated with smaller accounts.

5.Question

Why are commercial trading systems often ineffective?

Answer:Commercial trading systems rely on historical data,

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which may not be applicable in changing market conditions. An intelligent trader can adapt their strategies, while those following purchased systems risk failure.

6.Question

What is a key warning sign of a gambling attitude in trading?

Answer:The inability to stop trading during a losing streak is a strong indicator of a gambling attitude. Traders who gamble are often driven by emotions rather than strategic decision-making.

7.Question

How does personal discipline impact trading success?

Answer:Success in trading is largely a function of personal discipline. A trader must maintain control over their emotions and decision-making processes, as feelings of fear or greed can cloud judgment.

8.Question

What does 'trading the way we live' mean?

Answer:It suggests that personal discipline issues in life often reflect in trading behavior. A trader’s day-to-day

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responsibilities and organizational skills can directly affect their trading performance.

9.Question

How can a trader manage their trading size responsibly?

Answer:Traders can increase their trading size as long as they maintain a responsible risk percentage of their equity in each trade. This helps to prevent excessive losses.

10.Question

What are some characteristics of losing traders?

Answer:Losing traders often exhibit behaviors such as poor record-keeping, blaming others for losses, and avoiding personal accountability for their trading outcomes.

11.Question

What is the importance of accepting responsibility for trading losses?

Answer:Accepting responsibility helps clear away illusions and allows traders to establish a realistic foundation for their trading practices, paving the way for improvement.

12.Question

How does one achieve a disciplined trading approach?

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Answer:A disciplined approach involves writing down trade plans and adhering to them consistently to cultivate calmness and objectivity in trading, guarding against emotional reactions.

13.Question

What contributes most to confusion in trading according to the text?

Answer:The trader's own impulsivity and emotional responses create confusion and illogical perceptions of the market, rather than external factors like information limitations or random market movements.

14.Question

What is the pivotal moment of a trade?

Answer:A trade begins with the decision to enter the market and ends with the decision to exit. The trader holds full responsibility for these critical decisions.

15.Question

How can a trader assess their self-awareness in trading?

Answer:Traders can gauge their self-awareness and understanding of trading psychology through a

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self-assessment test, which reveals their preparedness and potential areas for growth.

Chapter 15 | TWO: Mass Psychology| Q&A

1.Question

How are price movements determined in the market?

Answer:Price movements are determined by the orders placed by crowd members—those buying and selling. Each price tick reflects the latest consensus of value, shaped by orders and market psychology rather than merely fundamental values.

2.Question

What is the key to successful trading according to the chapter?

Answer:The key to successful trading is identifying the dominant group in the market (bulls or bears) and trading with them, rather than against them, in order to align with the winning side.

3.Question

What is a prudent trading philosophy when you're uncertain?

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Answer:If you're unsure of what to do, it's sensible to remember the rule: 'When in doubt, stay out.' This helps prevent impulsive decisions that can lead to poorly planned trades.

4.Question

What does the chapter suggest about the relationship between traders?

Answer:Your profits come from other traders' accounts, which means any losses you incur also benefit other traders. Trading defensively is crucial, as other traders will seek to take advantage of your mistakes.

5.Question

What psychological effects do market crowds have on individual traders?

Answer:Being part of a crowd can diminish critical thinking and lead to impulsive behavior. Traders often follow trends without questioning, which adds to market volatility.

6.Question

How does uncertainty affect our decision-making in trading?

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Answer:In times of uncertainty, we tend to seek reassurance from others, which is a natural human behavior. This reliance on group sentiment can further bind traders to the market's momentum.

7.Question

How can a trader maintain emotional control in the market?

Answer:Traders must train themselves not to react emotionally to market fluctuations. By doing so, they can maintain autonomy and make decisions based on market reality instead of being swept away by crowd emotions.

8.Question

What is the significance of price movements in market psychology?

Answer:Price movements are the result of battles between bulls and bears, and they reflect the broader psychology of traders. Understanding these movements aids traders in predicting potential reversals or continuations.

9.Question

What are bull and bearish divergences, and why are they

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important?

Answer:Bearish divergences occur when prices reach new highs but an indicator shows lower highs, indicating weakening momentum and potential reversals. Bullish divergences are the opposite and help identify possible market bottoms—both are critical for technical analysis.

10.Question

What should traders keep in mind about forecasting the market?

Answer:Traders should focus on current market realities rather than become attached to specific forecasts, as this attachment can lead to financial harm if the market does not align with their predictions.

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Chapter 16 | THREE: Classical Chart Analysis| Q&A

1.Question

What distinguishes amateurs from professionals in trading according to the book?

Answer:Amateurs generally seek information after work and tend to trade in the morning. In contrast, professionals stay alert to changing market conditions throughout the day and often dominate trading near closing time.

2.Question

How do support and resistance levels impact trading decisions?

Answer:Support and resistance levels are critical because they reflect the memories of traders. When prices approach these levels, traders are influenced by past highs or lows, leading to potential buying or selling opportunities.

3.Question

Why is understanding different timeframes crucial for analysts?

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Answer:Different timeframes can present varying trends, which may lead analysts to different conclusions. Skilled analysts who can interpret multiple timeframes can make profitable trades based on diverse market conditions.

4.Question

What should traders do when they observe a kangaroo tail?

Answer:Traders should pay attention to the market action following a kangaroo tail pattern, as it may provide signals for increasing position size or taking profits. However, they should avoid placing their stop loss below the tail tip to minimize risk.

5.Question

What is the significance of trends over trading ranges in market analysis?

Answer:Recognizing trends is essential because they indicate a consistent direction in the market, allowing traders to follow and capitalize on upward or downward movements. Trading ranges, however, require more caution as they

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involve more frequent reversals.

6.Question

What does the phrase 'the trend is your friend' imply for traders?

Answer:This phrase emphasizes the importance of trading in the direction of the prevailing trend. As long as the market is making higher highs and higher lows, traders should maintain long positions while using stop orders to protect their profits.

7.Question

What can be inferred from a stock's inability to rise up to resistance?

Answer:If a stock fails to reach its previous resistance level, it suggests weakness in the market. Conversely, if it stays above support, it indicates strength. Patterns of rejection in price levels can provide valuable insights into future price movements.

8.Question

How should traders respond to false breakouts?

Answer:Instead of panicking, professional traders often

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embrace false breakouts as opportunities. They may wait for a confirmation of a new trend direction, which allows them to initiate trades that capitalize on the market's movements.

9.Question

What does high volume signify in relation to support and resistance zones?

Answer:High volume suggests a greater level of financial and emotional commitment among traders, reinforcing the support and resistance levels due to the collective memory and actions of market participants.

10.Question

Why is it important to reassess one's understanding of chart patterns regularly?

Answer:Regular reassessment is crucial because it allows traders to improve their technical analysis skills, avoid costly mistakes, and enhance their ability to interpret market signals accurately.

Chapter 17 | FOUR: Computerized Technical Analysis| Q&A

1.Question

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How does computerized technical analysis differ from classical charting?

Answer:Computerized technical analysis is more objective because it provides clear directions (up, down, or flat) for indicators, unlike classical charting where support and resistance can be subjectively debated. A good technician's goal is to gauge the power dynamics between bulls and bears rather than predict future movements. Emotions still play a role in trading since human decisions are central to executing trades.

2.Question

What are the advantages of combining different indicators in trading?

Answer:Combining indicators from different groups can help mitigate their individual weaknesses while enhancing their effectiveness. This synergy allows traders to maintain a balanced view, as the negative aspects of one indicator can be offset by the positive aspects of another, leading to more

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reliable signals.

3.Question

What does a rising Exponential Moving Average (EMA) indicate?

Answer:A rising EMA suggests that bulls are in control of the market, signaling a favorable time to go long on a stock. Conversely, a declining EMA indicates that bears dominate, which is the right moment to consider shorting.

4.Question

What does MACD-Histogram signify when it reaches a new high or low?

Answer:When the MACD-Histogram reaches a new high, it demonstrates that bulls are gaining strength, suggesting that prices may soon test or exceed previous peaks. Conversely, a new low reveals bear strength, indicating that prices may retest or drop below recent lows.

5.Question

How should traders react to oscillator signals during trending markets?

Answer:Oscillator signals are most effective in ranging

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markets. In trending markets, traders should be cautious as overbought or oversold readings can be misleading. It's crucial to avoid trading based on oscillators during strong trends and instead follow the direction of the trend.

6.Question

What is the key takeaway from recognizing bullish or bearish divergences in trading?

Answer:Bullish divergences indicate that despite price declines, underlying momentum (like in the MACD) is not as weak, suggesting a likely reversal upwards. Bearish divergences signal that even as prices rise, underlying momentum fails to keep pace, hinting at a potential downturn.

7.Question

Why is it important to evaluate your understanding of technical analysis concepts?

Answer:Assessing your grasp of technical analysis is essential for personal growth as a trader. It reveals your strengths and weaknesses in understanding market dynamics,

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which is vital for adapting your trading strategy, focusing on what you're most comfortable with, and improving your overall performance in trading.

8.Question

What does the phrase 'Trader, know thyself' imply in the context of trading?

Answer:This phrase emphasizes the importance of self-awareness in trading strategies. Successful traders understand their preferences, whether they are trend-followers or reversal catchers, and capitalize on their strengths while working on their weaknesses.

9.Question

What are some recommended resources for improving technical analysis skills?

Answer:John Murphy's "Technical Analysis of the Financial Markets" is a crucial read for traders seeking to deepen their understanding of market analysis tools and methods. This resource provides foundational knowledge necessary for developing effective trading strategies.

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Chapter 18 | FIVE: Volume and Time| Q&A

1.Question

What does volume represent in trading activities?

Answer:Volume reflects the activity of both winners and losers in the market. It indicates the level of financial and emotional commitment from buyers and sellers, with surges in volume often indicating panic from losing traders.

2.Question

How does volume affect the persistence of trends?

Answer:Trends tend to continue when volume is steady or increasing. However, they usually end either dramatically with a spike in volume or quietly with a significant drop in volume, as the trend cannot sustain when many losing traders exit.

3.Question

What does shrinking volume at new price extremes indicate?

Answer:When prices reach new highs or new lows but do so with shrinking volume, it signals that the existing price trend

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is likely to reverse or at least pause.

4.Question

What is the significance of opening and closing prices?

Answer:Opening prices are often influenced by amateur traders flooding the market, while closing prices are dominated by professionals. The relationship between these prices, along with daily volume, offers insights into market sentiment and direction.

5.Question

How does open interest reflect market conditions?

Answer:Open interest indicates the number of outstanding contracts in derivatives markets. It changes only when new buyers and sellers enter or when current positions are closed out. A rising open interest shows confident bulls and bears are actively trading.

6.Question

What does a rising Force Index indicate?

Answer:A rising Force Index suggests that the momentum of the price change is increasing, indicating bullish strength. It

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captures the relationship between price movement, its extent, and the volume supporting that movement.

7.Question

How can smoothing the Force Index help traders?

Answer:Smoothing the Force Index allows traders to better identify trends and reversals by filtering out noise. For instance, certain crossovers of the Force Index above or below zero provide buy or sell signals.

8.Question

What is the 'season' of an indicator and why does it matter?

Answer:The season of an indicator describes its slope and position relative to the centerline. This can indicate whether it's a favorable time for long or short trades, with spring being optimal for going long and autumn for shorting.

9.Question

How should traders analyze different timeframes in the market?

Answer:When analyzing a market, different timeframes should relate to each other by a factor of five. For example, if

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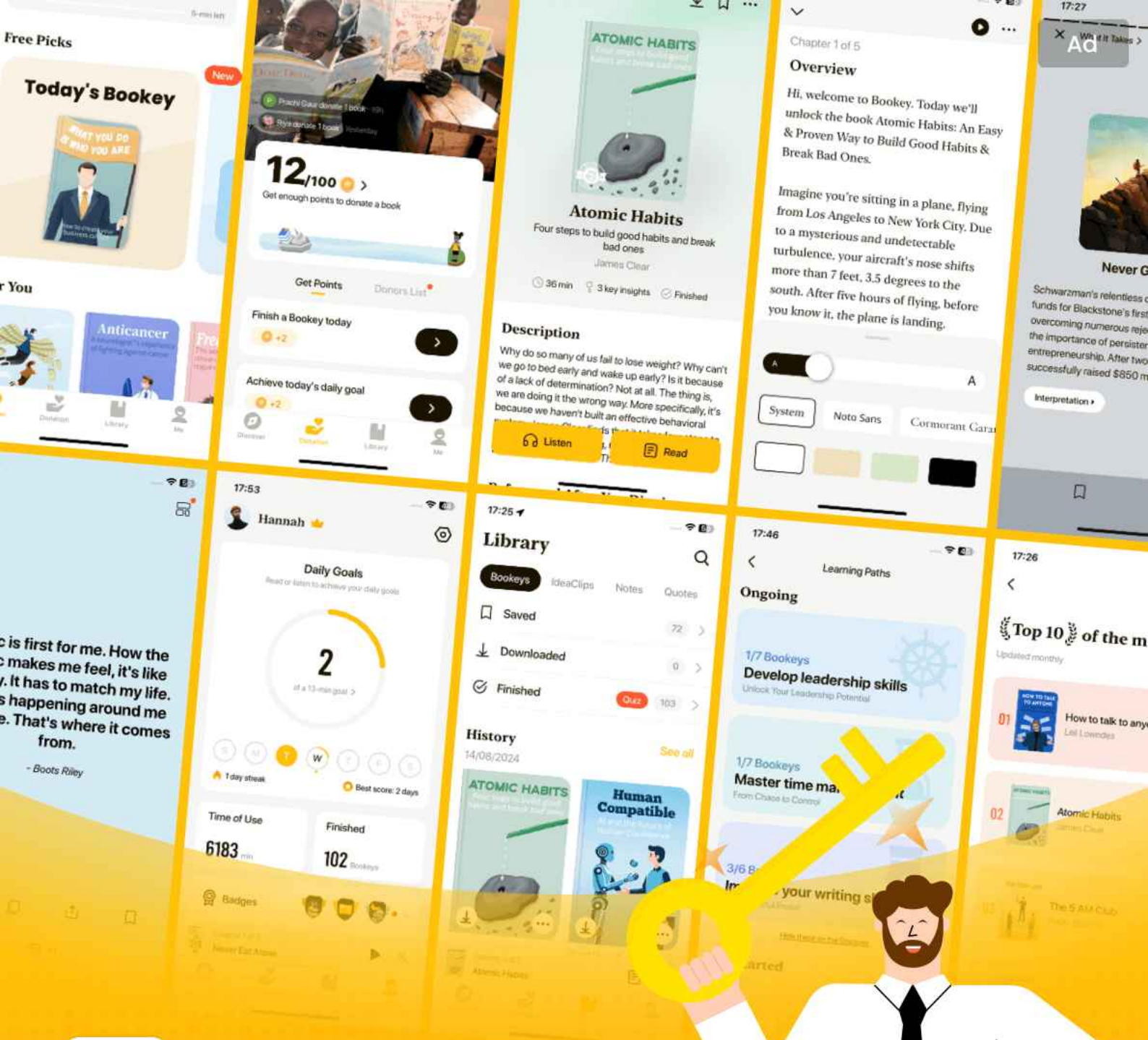
a trader examines daily charts, they should also look at weekly charts to gain perspective on longer-term trends.

10.Question

What can traders do to enhance their understanding of volume and time?

Answer:Traders should continuously educate themselves on the concepts of volume and time in market analysis. Regular review and testing of their understanding of these topics can provide a competitive edge in trading.

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Chapter 19 | SIX: General Market Indicators| Q&A

1.Question

What does the New High–New Low Index (NH-NL) indicate about market strength?

Answer:The NH-NL Index measures the difference between stocks hitting new highs and those hitting new lows. A rising NH-NL indicates growing bullish leadership in the market, suggesting that it is wise to go long on stocks, while a declining NH-NL reflects increasing bearish leadership, indicating a favorable environment for short positions.

2.Question

How can divergences in NH-NL signal market trends?

Answer:If the market rallies, but NH-NL does not reach new highs (lower peak), it indicates a loss in leadership and potential trouble for the uptrend. Conversely, if the market falls to new lows but NH-NL shows a higher bottom, it suggests that the downtrend is weakening and may approach a bottom.

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3.Question

What does a high bullish consensus among traders indicate?

Answer:When bullish consensus reaches a record peak—around 75%—it signals that the market may be overbought, and savvy traders should consider taking profits on long positions and looking for shorting opportunities.

4.Question

How does the structure of the derivatives market influence trading decisions?

Answer:In the derivatives markets, the balance between long and short contracts is maintained. If the percentage of bullish participants is overwhelmingly high, it reflects that many traders are already long, making it prudent to bet against the majority or consider shorting opportunities.

5.Question

What is the significance of insider buying in the stock market?

Answer:Insider buying is a strong bullish indication, especially when confirmed by price action. However, when

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entering the market after a prolonged bear phase (about 11 months), it's vital to accumulate slowly and ensure bullish confirmation before committing to larger positions.

6.Question

Why should traders avoid overly bullish market sentiments?

Answer:Overly bullish market sentiment often signals a market top and indicates that there may not be enough buying power to sustain the uptrend. Therefore, it is wiser to prepare for potential reversals rather than reinforcing positions.

7.Question

What does the Advance-Decline line (A/D line) measure, and why is it important?

Answer:The A/D line tracks mass participation in market rallies and declines. A new high in the A/D line during a rally supports the notion of its continuation, while a new low during a decline suggests the trend will persist, making it critical for traders to observe the pattern of peaks and valleys

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in the A/D line.

8.Question

What should one do if the majority of market participants are bearish?

Answer:If the bearish consensus is around 20%, it indicates a strong bullish minority, meaning traders might want to watch for a potential rally as softer bearish sentiment could lead to buying opportunities.

9.Question

What might a bull market that has attracted public attention indicate?

Answer:A bull market that draws significant public attention is usually very old and may be nearing a reversal, hence traders should exercise caution and might consider scaling into put positions as a safer strategy.

10.Question

What are the implications of knowing the position limits that traders are subject to?

Answer:Understanding position limits can help traders gauge the risk of market manipulation. Knowing when traders'

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positions reach reporting levels informs strategies, especially when discerning the behavior of larger speculators in contrast to smaller traders.

Chapter 20 | SEVEN: Trading Systems| Q&A

1.Question

What does the Triple Screen trading system help traders manage?

Answer:The Triple Screen trading system helps traders manage contradictory signals that may arise from different timeframes. For example, it allows traders to trade with the trend identified on a higher timeframe while entering trades on a lower timeframe, thereby improving decision-making amid conflicting signals.

2.Question

Why is it important to analyze the higher timeframe before the lower timeframe?

Answer:Analyzing the higher timeframe first is crucial because it sets a clear context that guides trading decisions. If

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traders start with the daily chart, their perceptions may be biased by that smaller timeframe. The Triple Screen advises to identify the trend on a weekly chart before looking for entry points on daily charts.

3.Question

How should traders keep records when testing a trading system?

Answer:Traders should keep meticulous records by starting from the beginning of their data files and documenting each trading signal and their planned actions daily. This helps in reflecting on the system's performance and understanding its mechanics without risking actual capital.

4.Question

What are the essential numbers every trader must write down before entering a trade?

Answer:The three essential numbers are the entry point, the target, and the stop-loss. These numbers provide the essential structure for comparison of risk and reward, helping traders to make informed decisions instead of gambling with their

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trades.

5.Question

What do traders do when the first screen of the Triple Screen indicates an uptrend?

Answer:When the first screen indicates an uptrend, traders look for buying opportunities during declines of a short-term oscillator. This approach prevents them from chasing after uptrends and allows for more strategic entries.

6.Question

What does a pullback during a weekly uptrend signal according to the Triple Screen?

Answer:A pullback during a weekly uptrend indicates a buying opportunity on the daily chart. The system involves placing buy orders above the last daily high when the price retraces, despite the presence of conflicting trends.

7.Question

How does the Impulse system help traders in their decision-making process?

Answer:The Impulse system acts as a censorship tool that informs traders when they are prohibited from buying or

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selling, based on the signals from EMA and MACD-Histogram. It colors the indicators red for bearing conditions (prohibiting buying) and green for bullish conditions (prohibiting shorting). This helps traders avoid impulsive decisions.

8.Question

What should traders be aware of when constructing price channels?

Answer:Traders should regularly adjust the width of the price channels to include most price action without being thrown off by extreme highs and lows. This helps indicate zones of unsustainable price activity which may revert back to normal price action.

9.Question

Why is knowing trading systems essential for survival in the market?

Answer:Understanding trading systems is essential because they provide structure and strategy. Trading without a system is akin to navigating without guidance; it greatly increases

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risks and can lead to significant losses.

Chapter 21 | EIGHT: Trading Vehicles| Q&A

1.Question

What is the importance of choosing liquid and high-volume trading vehicles?

Answer:Choosing liquid and high-volume trading vehicles helps reduce slippage, allowing for more efficient trading. These vehicles are also more stable and provide better price execution, making them essential for successful trading.

2.Question

How should a trader approach stocks and their reported profits?

Answer:A trader should not assume that a stock will rise simply because a company reports a profit. If a company's profits fall short of expectations, even if they are positive, stocks can still decline due to disappointing holder reactions.

3.Question

How does Warren Buffett describe the relationship between a stock buyer and the market?

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Answer:Warren Buffett metaphorically describes the market as 'Mr. Market', who fluctuates between being overly optimistic and overly pessimistic. This means that wise traders should buy when he is overly pessimistic (offering a low price) and sell when he is overly optimistic (offering a high price).

4.Question

What are the challenges and considerations when trading ETFs?

Answer:ETFs hold various assets but may lag in performance due to administrative expenses. Traders must be cautious as ETF prices can diverge significantly from the underlying assets they are supposed to track.

5.Question

What should a trader remember about the nature of options?

Answer:Traders need to be aware that options can lose value as they near expiry and that they often have to predict price movements accurately. Unlike stock buying, with options,

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only one out of three scenarios (up, down, or sideways) can work in favor of the option buyer.

6.Question

What does prudent risk management look like in futures trading?

Answer:Effective risk management in futures trading requires discipline, as traders can be leveraged to control large amounts with a small margin, making it crucial to have a solid strategy and money management skills to safeguard profits.

7.Question

How can a trader ensure that they are well-informed about the markets they trade in?

Answer:A trader must continuously educate themselves about the markets they are engaging with. Knowledge is key; lacking it makes one susceptible to losses and manipulation by more knowledgeable operators.

8.Question

What impact does volatility have on options pricing?

Answer:Options on volatile stocks tend to be more expensive

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due to the greater potential price swings involved. Understanding this concept can help traders make better decisions related to option premiums and risk.

9.Question

What mindset should one adopt regarding market movements?

Answer:Traders should adopt a mindset of patience and observation, recognizing that markets move based on supply and demand, and that sudden shifts can present both risks and opportunities based on prevailing market sentiments.

10.Question

What should a trader do after making mistakes in trading?

Answer:After making mistakes, a trader should reflect on their decisions, learn from them, and adjust their strategies accordingly. Continuous self-assessment and education are vital for improvement and long-term success.

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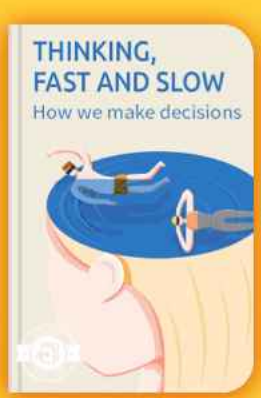
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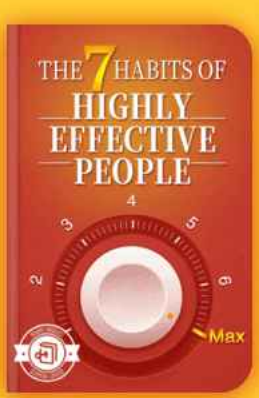
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Chapter 22 | NINE: Risk Management| Q&A

1.Question

What is the enemy of trading success according to the text?

Answer:Emotional trading is the enemy of success.

It leads to unchecked greed and fear, both of which

can destroy a trading account.

2.Question

How should a trader respond to taking a loss?

Answer:A good trader should be a realist and understand that

hanging onto a losing trade is not a sound tactic.

3.Question

What does adding to a losing trade signify?

Answer:It shows a reluctance to accept loss, indicating

emotional trading. A trader is holding onto a fantasy rather

than facing reality.

4.Question

How can poor risk management impact a trader's survival?

Answer:Trader A can go bust with just three losses, while

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Trader B can endure nine losses due to better capital management. The one with insufficient capital will fail first.

5.Question

What is the first priority in money management for traders?

Answer:Survival is the first goal. Earning consistent returns comes second, and achieving high returns should follow.

6.Question

What should a trader do if they can't stop thinking about money in an open trade?

Answer:If a trader is fixated on the money, they should close the trade to avoid emotional decision-making.

7.Question

What is the 2% Rule in trading?

Answer:The 2% Rule dictates the maximum dollar risk a trader should take per trade, ensuring only a small portion of the account is at risk.

8.Question

What are the two deadly errors in trading?

Answer:Not using stops and risking more than one's account

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can afford are the two critical errors that can lead to significant losses.

9.Question

What is the Iron Triangle in risk management?

Answer:The Iron Triangle asks three key questions: What is your maximum acceptable risk? Where will you enter the trade? Where will you place your stop? These guide the trade setup.

10.Question

What does the 6% Rule protect traders from?

Answer:The 6% Rule helps limit drawdowns by making traders pause and reassess their systems after a specific loss threshold.

11.Question

How should a trader adjust their risk after a loss?

Answer:After a loss, traders should be gentle with themselves, reduce risk, and gradually increase their trading size.

12.Question

What does a low score (0-6 correct) in the risk

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management test indicate?

Answer:It indicates that the trader does not grasp money management concepts adequately and must study more before trading.

13.Question

What is the recommended approach for those scoring 13-17 on the risk management test?

Answer:These traders have a good understanding of money management rules, but they should review any discrepancies to strengthen their knowledge.

Chapter 23 | TEN: Practical Details| Q&A

1.Question

How should I approach trading when the market is trending upwards?

Answer:When the trend is up, it's wise to buy pullbacks below value rather than chasing higher prices. Look for opportunities where price dips occur, but don't be greedy in trying to catch the absolute lowest point of that dip; a smaller, more

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reliable entry point might yield better overall results.

2.Question

What is the significance of using channels in trading?

Answer:A well-defined channel helps capture the major market swings, and trading towards the upper boundary of that channel can yield good profit opportunities. For example, if a trade successfully captures 30% of the channel height, it indicates a strong performance.

3.Question

How can moving averages affect long-term trades?

Answer:Using moving averages for long-term positions can lead to exiting trades too soon, as they are often too sensitive. Instead, consider relying on broader support and resistance levels to set more stable profit targets.

4.Question

How can I effectively set stop-loss orders?

Answer:To minimize the risk of whipsaws—when the market moves against your position immediately after you set a

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stop—place your stops outside of normal market noise zones. This method helps improve your protective measures against sudden price swings.

5.Question

What strategy can I employ when placing stop-loss orders in crowded price areas?

Answer:Keep your stops slightly away from high visibility extreme price points, such as round numbers, to avoid being stopped out too easily. Adjusting your stop as the trade moves in your favor is also essential for protecting profits.

6.Question

What criteria should I use when executing a buy or sell order?

Answer:When going long, aim to buy as close to the low of the bar as possible. For selling, target as close to the high of the bar as you can. This approach ensures that you maximize your profit potential by positioning yourself favorably within the day's price range.

7.Question

Why is the overall trade grade more critical than buy and

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sell grades?

Answer:The overall trade grade is the most important of the three (buy, sell, overall) because it reflects the potential maximum gain achievable within your entry channel. Achieving a trade grade of 'A' signifies a strong trade entry according to established trading rules.

8.Question

What should I do if my trading scan doesn't lead to profitable trades?

Answer:While a good scan can suggest potential candidates, it won't guarantee profits. Regularly define your trading patterns, analyze the results shown by your scans, and continuously refine your selection criteria based on past outcomes and lessons learned.

9.Question

How can I improve my understanding of setting entries, targets, and stops?

Answer:If you struggle with the concepts of entries, targets, and stops, it's essential to review the core material again and

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possibly retake assessments to ensure your understanding is solid before advancing further in trading.

Chapter 24 | ELEVEN: Good Record-Keeping| Q&A

1.Question

Why is keeping good records important in trading?

Answer:Keeping good records helps you learn from your experiences, improve discipline, and reduce impulsivity. It allows you to understand your mistakes and learn from them, preventing repetition in the future.

2.Question

What is the purpose of morning homework before trading?

Answer:Morning homework focuses on factors likely relevant for today's trading, such as the behavior of overnight markets and upcoming fundamental reports. It prepares you for informed decision-making.

3.Question

When should you consider not trading?

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Answer:You should not trade on days when your health is poor, your mood is low, or you've done little homework. An objective self-test can help measure your readiness.

4.Question

How should you define a trade strategy?

Answer:Define your trading strategy by setting up your entry, target, and stop-loss levels. Allocate a set amount of risk to determine how many shares or contracts to trade, focusing on quality rather than counting profits prematurely.

5.Question

What is a Trade Apgar and how is it used?

Answer:A Trade Apgar is a simple structure to assess a trade with five questions, each having three possible answers. It quickly helps you review whether a stock deserves a trade plan.

6.Question

What is included in a Tradebill?

Answer:A Tradebill is a key document that includes your trading strategy, entry, target, stop-loss, allocated risk, trade

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size, and essential reminders such as earnings report dates.

7.Question

Why is it important to document your stops?

Answer:Documenting your stops and the levels you'll move them to breakeven allows for better decision-making early in a trade and helps maintain focus on trade management.

8.Question

How can reviewing past trades aid your trading success?

Answer:Reviewing past trades provides valuable feedback and learning opportunities. It prevents you from repeating mistakes, as illustrated by the Russian saying about rakes in the grass.

9.Question

What should you do weeks or months after exiting a trade?

Answer:Return to each trade and review an updated chart to identify trends and reversals. This reflection helps you understand what went right or wrong and apply those lessons to future trades.

10.Question

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What does your score on the record-keeping test indicate about your trading skills?

Answer:Scores indicate your level of knowledge of record-keeping, with lower scores suggesting the need for improvement and higher scores indicating readiness to implement strong record-keeping practices.

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Chapter 1 | Introduction| Quiz and Test

1. A successful trader learns to think and act differently from the market crowd.
2. Connections with market insiders are unnecessary for trading success.
3. The best strategy when reading a trading book is to incorporate all ideas into work.

Chapter 2 | ONE: Individual Psychology| Quiz and Test

1. A successful trader measures risks rather than avoiding them.
2. The primary focus of a successful trader is just to beat others in the market.
3. Feelings such as fear and greed significantly affect equity and performance in trading.

Chapter 3 | TWO: Mass Psychology| Quiz and Test

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1. Crowd behavior has no significant impact on market trends because traders always make rational decisions.
2. Understanding mass psychology can help traders align their decisions with market trends.
3. Emotions of the crowd have no effect on an individual trader's objectivity.

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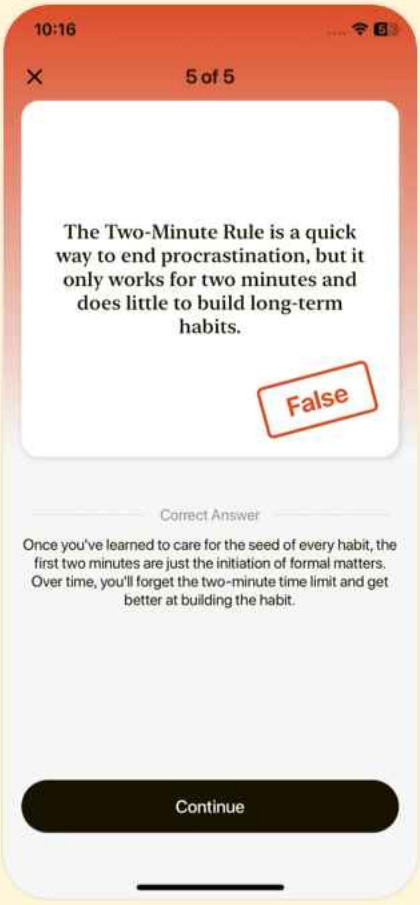
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Chapter 4 | THREE: Classical Chart Analysis| Quiz and Test

1. Technical analysis can be applied universally across various markets such as stocks, bonds, currencies, and futures.
2. Recognizing strong trading signals is easier near the left edge of a chart than it is near the right edge.
3. Understanding support and resistance is not significant for making informed trading decisions.

Chapter 5 | FOUR: Computerized Technical Analysis| Quiz and Test

1. Computerized analysis improves prediction accuracy by removing emotional factors from trading decisions.
2. All types of technical analysis software provide the same level of flexibility and indicators for traders.
3. The MACD indicator is used for measuring market control between bulls and bears.

Chapter 6 | FIVE: Volume and Time| Quiz and Test

1. Beginners often incorporate volume analysis into

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their trading decisions while experienced analysts focus only on price movements.

2. Higher volume during a rally is an indicator of potential healthy uptrends in the market.

3. Rising open interest in the derivatives markets indicates a lack of confidence and suggests a reversal of trends.

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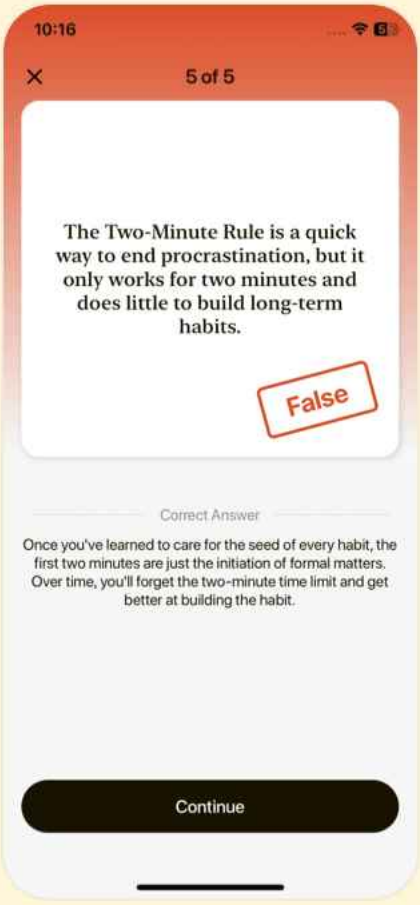
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Chapter 7 | SIX: General Market Indicators| Quiz and Test

1. Markets are influenced only by fundamental economic factors, not by the behavior of traders.
2. The New High–New Low Index (NH-NL) indicates bullish sentiment when it is rising.
3. A rising Advance/Decline Line indicates weakness in the market.

Chapter 8 | SEVEN: Trading Systems| Quiz and Test

1. A trading system is a guaranteed method for achieving profits effortlessly.
2. The chapter discusses the importance of creating a trading system thoughtfully in a calm environment.
3. An essential step in exploring trading systems is to stop testing and just begin trading with real money.

Chapter 9 | EIGHT: Trading Vehicles| Quiz and Test

1. Which of the following is not a key consideration in selecting a trading instrument?
2. When buying a stock, what occurs?

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3.Which statements about the forex market are correct?

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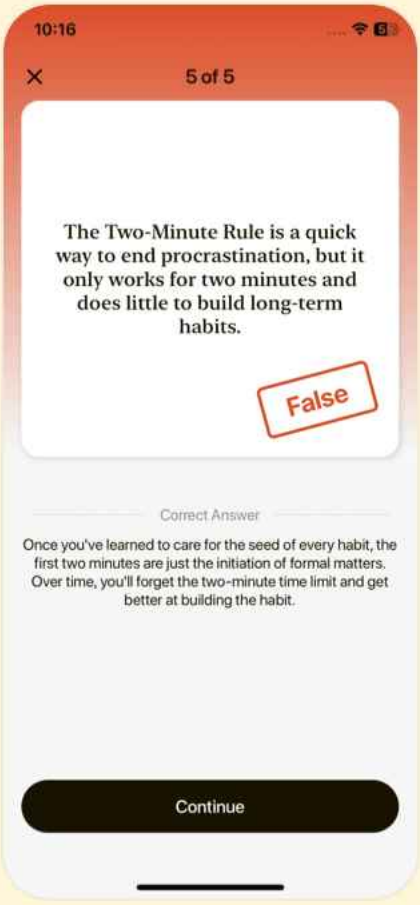
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Chapter 10 | NINE: Risk Management| Quiz and Test

1. Brilliant trading systems guarantee success in all trades.
2. Understanding drawdowns is essential for trading survival.
3. A trader can risk up to 10% of their capital on each trade without any problem.

Chapter 11 | TEN: Practical Details| Quiz and Test

1. Traders must decide whether to buy, sell, or stand aside at the moment they analyze the market.
2. Buying breakouts above specific levels is always a safe strategy for traders.
3. Setting profit targets should involve understanding market behavior during uptrends and downtrends.

Chapter 12 | ELEVEN: Good Record-Keeping| Quiz and Test

1. Keeping good records is essential for traders to identify past mistakes and prevent repetition.
2. Good record-keeping does not help traders with developing discipline.

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3.The purpose of a daily psychological self-test is to evaluate mood and readiness to trade.

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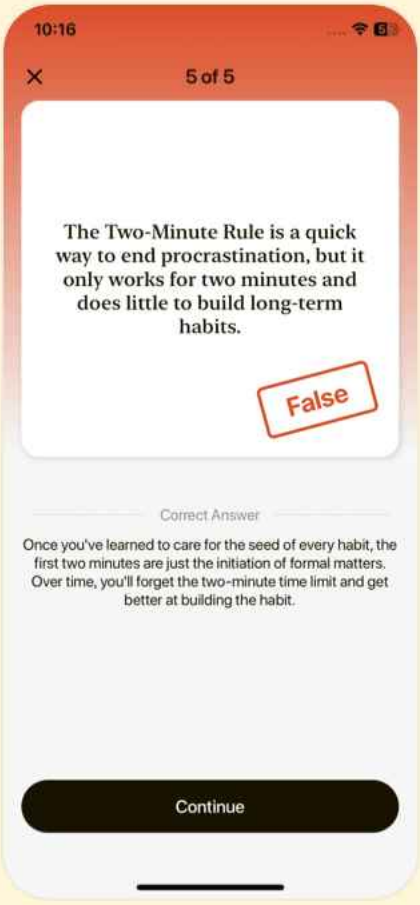
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Chapter 13 | Introduction| Quiz and Test

1. Successful trading relies on sound psychology, effective analytic methods, and diligent money management.
2. Utilizing inside information for trading is legal in many countries.
3. Slippage can equal or exceed commission costs, highlighting the need for market orders.

Chapter 14 | ONE: Individual Psychology| Quiz and Test

1. Professional traders assess risks in advance and trade only when conditions are favorable.
2. Beginners with larger trading accounts typically use their resources wisely and avoid reckless spending.
3. Emotional states, such as fear and greed, do not affect trading decisions as long as traders are disciplined.

Chapter 15 | TWO: Mass Psychology| Quiz and Test

1. Prices in the market are determined solely by fundamental values without any influence from

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crowd psychology.

2. Traders should aim to join the dominant group in the market to avoid the pitfalls of forecast-heavy mindsets.

3. Impulsive trading can lead to better decision-making by allowing traders to react quickly to market changes.

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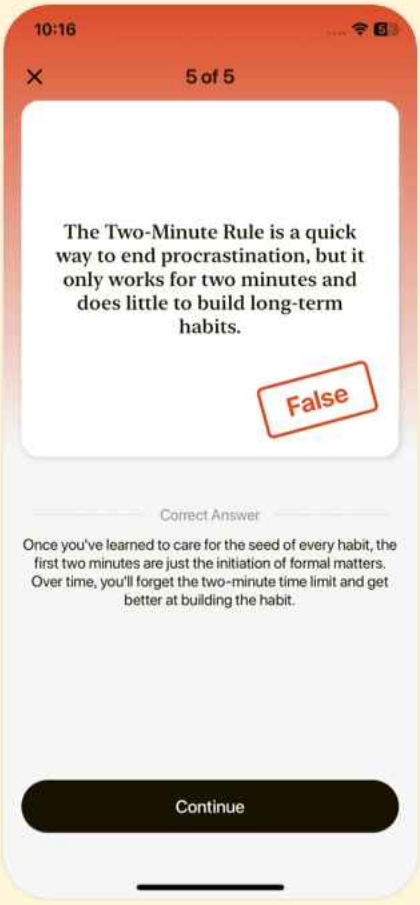
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Chapter 16 | THREE: Classical Chart Analysis| Quiz and Test

1. Amateurs typically trade in the morning while professionals dominate near closing.
2. Support and resistance levels can only be marked at price peaks, not troughs.
3. Tails on price charts indicate potential trading opportunities in the opposite direction.

Chapter 17 | FOUR: Computerized Technical Analysis| Quiz and Test

1. Computerized technical analysis provides a subjective approach to evaluating market indicators and is focused on predicting future market outcomes.
2. Exponential Moving Averages (EMAs) are used to indicate market control, with a rising EMA suggesting that bulls are in control.
3. Oscillators are always effective in suggesting market indicators, irrespective of the type of market condition.

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Chapter 18 | FIVE: Volume and Time| Quiz and Test

1. Volume reflects only the winners in trading, ignoring the losers.
2. Trends generally conclude with a surge or significant reduction in volume.
3. Opening prices are primarily influenced by professional traders, while closing prices are influenced by amateurs.

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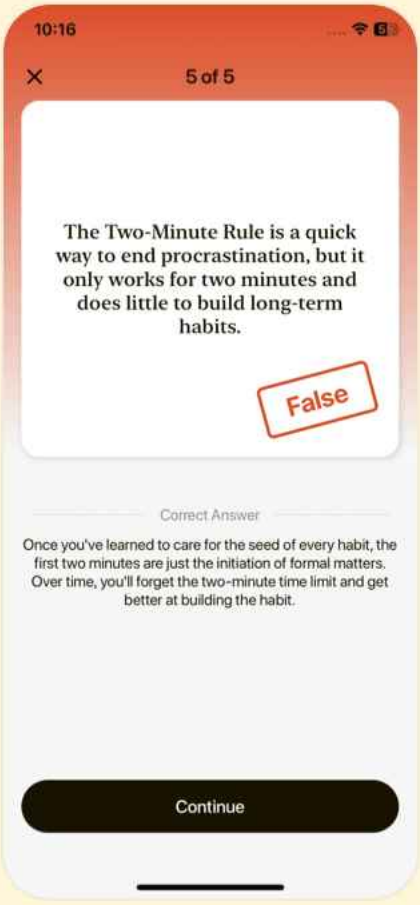
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Chapter 19 | SIX: General Market Indicators| Quiz and Test

1. New Highs indicate bearish weakness in the stock market.
2. A rising A/D line suggests sustainability in market rallies.
3. High bullish consensus, particularly above 75%, always leads to continued market growth.

Chapter 20 | SEVEN: Trading Systems| Quiz and Test

1. Trends can diverge across different timeframes, leading to conflicting signals.
2. The Triple Screen trading system advises to look for trades in any direction regardless of long-term trends.
3. Maintaining a record of trades is not important according to the guidelines of the Triple Screen trading system.

Chapter 21 | EIGHT: Trading Vehicles| Quiz and Test

1. Trading in liquid, high-volume vehicles minimizes slippage.
2. Insider trading is allowed for all traders, not just major

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stakeholders.

3.Options allow for unlimited risk while futures require limited commitment to losses.

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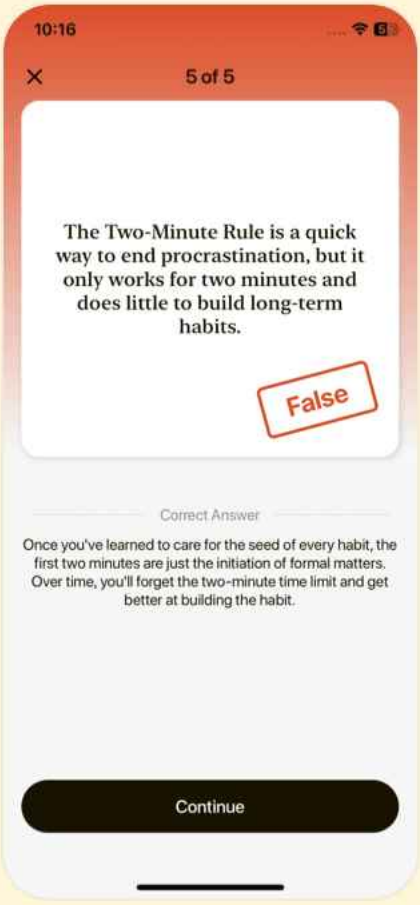
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Chapter 22 | NINE: Risk Management| Quiz and Test

1. Emotional trading is beneficial to the success of a trader.
2. The 2% Rule limits the maximum dollar risk per trade to 2% of the total account balance.
3. Traders should always cling to hope and avoid facing losses realistically.

Chapter 23 | TEN: Practical Details| Quiz and Test

1. Buying above the upper channel line is recommended as bullishness may peak and reversals are likely.
2. Establishing stop-loss orders and profit targets helps measure reward/risk ratios in trading.
3. It is advisable to place stops at highly visible price extremes or round numbers for effective risk management.

Chapter 24 | ELEVEN: Good Record-Keeping| Quiz and Test

1. Good record-keeping helps traders improve discipline and reduce impulsivity.

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2.Morning preparation involves solely analyzing the trading strategies from the previous week.

3.Traders should trade even when they feel unprepared or unwell as it doesn't affect their performance.

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